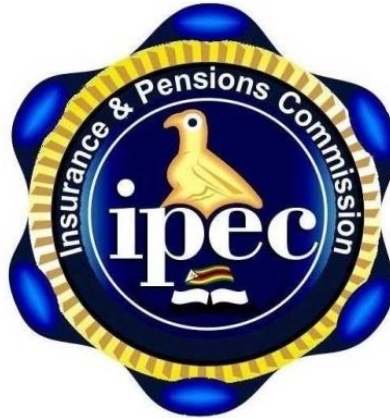




INSURANCE AND PENSIONS COMMISSION (IPEC)

SHORT TERM (NON-LIFE) INSURANCE REPORT

FOR THE QUARTER ENDED 30 JUNE 2014

Contents

Executive Summary	6
SECTION A	7
1. SHORT-TERM (NON-LIFE) INSURANCE COMPANIES	7
1.1. Number of Direct Non-life Insurers	8
1.2. Trend and Distribution of Business.....	8
1.3. Capitalization	10
1.4. Asset Quality.....	12
1.5. Reinsurance	15
1.6. Actuarial Liabilities	17
1.7. Earnings	18
1.8. Liquidity	19
1.9. Market Share for Non-life Insurers	20
SECTION B.....	22
2. REINSURANCE COMPANIES	22
2.1. Number of Non-life Reinsurers.....	23
2.2. Trend and Distribution of Business Written.....	23
2.3. Capitalization	25
2.4. Asset Quality.....	27
2.5. Retrocession	29
2.6. Actuarial Liabilities	31
2.7. Earnings	32
2.8. Liquidity	33
2.9. Market Share for Reinsurers	33
SECTION C.....	35
3. INSURANCE BROKERS.....	35
3.1 Number of Insurance Brokers.....	36
3.2 Business Written	36
3.3 Earnings	38
3.4 Capitalization	38
3.5 Asset Quality.....	40
3.6 Market Share for Insurance Brokers.....	40

SECTION D	42
4. REINSURANCE BROKERS.....	42
4.1 Number of Reinsurance Brokers.....	43
4.2 Business Written	43
4.3 Capitalization	44
4.4 Earnings for Reinsurance Brokers.....	44
4.5 Asset Quality.....	44
4.6 Market Share for Reinsurance Brokers	45
SECTION E	46
5. APPENDICES.....	46

List of Figures

Figure 1: Trend in Volume of Business Written in the Half Years Ended 30 June Since 2010	8
Figure 2: Distribution of Insurers' Gross Premium Written by Business Class.....	10
Figure 3: Solvency Margin for Non-life Insurers	12
Figure 4: Quarterly Trend in Total Assets Since 2009	13
Figure 5: Breakdown of Short-Term Insurers' Total Assets	14
Figure 6: Premium Debtors to Total Assets Ratios	15
Figure 7: Retention Ratios for Short Term Insurance Companies	16
Figure 8: Non-life Insurers' Average Retention Ratios for Different Classes of Business.....	16
Figure 9: Market Share for Insurers in Terms of GPW and NPW	20
Figure 10: Market Share for Insurers in Terms of Total Assets	21
Figure 11: Trend in Business Written for the Half Year Periods Ended 30 June Since 2010	23
Figure 12: Distribution of Reinsurers' GPW by Business Class.....	25
Figure 13: Solvency Margin for Reinsurers	26
Figure 14: Trend in Total Assets for Non-life Reinsurers since 2009.....	27
Figure 15: Breakdown of Non-life Reinsurers' Total Assets.....	28
Figure 16: Premium Debtors to Assets and Premium Debtors to GPW Ratios.....	29
Figure 17: Retention Ratios for Reinsurers	30
Figure 18: Retention Ratios by Class of Insurance Business	31
Figure 19: Market Share for Reinsurers in Terms of GPW and NPW	34
Figure 20: Market Share for Reinsurers in Terms of Total Assets	34
Figure 21: Distribution of Insurance Brokers' Gross Premium Written by Business Class	37
Figure 22: Distribution of Insurance Brokers' Total Assets	40
Figure 23: Market Share in Terms of Net Brokerage Income and Premium Written.....	41
Figure 24: Market Share for Insurance Brokers in Terms of Total Assets.....	41
Figure 25: Market Share for Reinsurance Brokers.....	45

List of Tables

Table 1: Non-life Insurers' Gross Premium Written by Class of Business.....	9
Table 2: Capital Positions for Non-life Insurers	11
Table 3: Reinsurers' Gross Premium Written by Class of Business	24
Table 4: Capital Positions for Non-life Reinsurers	26
Table 5: Indicators of Business Written for Insurance Brokers	37
Table 6: Reported Capital Levels for Insurance Brokers	39
Table 7: Indicators of Business Written for Reinsurance Brokers	43
Table 8: Capital Levels for Reinsurance Brokers.....	44

List of Acronyms and Abbreviations

GPW	—	Gross Premium Written
IBNR	—	Incurred But Not Reported
IPEC/Commission	—	Insurance and Pensions Commission
NEP	—	Net Earned Premium
NPW	—	Net Premium Written
ROA	-	Return on Assets
ROE	—	Return on Equity
UPR	—	Unearned Premium Reserve

Note: Unless stated otherwise, all monetary figures are in United States Dollars.

Executive Summary

This report details the performance and developments that took place in the non-life insurance industry during the quarter ended 30 June 2014. The number of registered insurance companies and reinsurance companies as at 30 June 2014 was twenty six (26) and nine (9) respectively. On the other hand, the number of registered insurance brokers increased from thirty (30) as at 31 March 2014 to thirty one (31) as at 30 June 2014 while the number of reinsurance brokers remained constant at three (3). Total gross premium written (GPW) by non-life insurers for the half year ended 30 June 2014 amounted to \$116.89 million compared to \$117.82 million reported in the comparative period in 2013. Reinsurers also witnessed a 6.72% shrinkage in business generated in terms of GPW from \$60.3 million for the half year period ended 30 June 2013 to \$56.25 million during the comparative period in 2014. Insurers generated \$44.82 million of their business through insurance brokers while reinsurance generated \$33.14 million of their business through reinsurance brokers. The major sources of business in the short term insurance industry remained motor and fire insurance. Eight (8) insurance companies and one reinsurer were not compliant with the regulatory minimum capital requirement of \$1.5 million as at 30 June 2014. Total assets for the non-life insurance industry decreased marginally from \$344.37 million as at 31 March 2014 to \$343.74 million as at 30 June 2014. All the short term underwriters, except FBC Reinsurance Company, were not compliant with the prescribed assets ratio. Out of all the operating underwriters, only twelve (12) had investments in prescribed assets. The risk appetite of both non-life insurers and reinsurers remained largely unchanged as indicated by negligible changes in the industry average retention ratios. Profitability for both direct insurance companies and reinsurance companies deteriorated in the wake of increasing operating expenses coupled with constrained growth in business generated. Total profit after tax for non-life insurers decreased from \$7.38 million for the half year ended 30 June 2013 to \$5.95 million for the half year ended 30 June 2014. On the other hand, profit after tax for reinsurers decreased from \$5.62 million for the half year ended 30 June 2014, to \$0.72 million for the period under review. The non-life insurance industry was not spared by the liquidity challenges being faced by the economy, as evidenced by deterioration in key liquidity indicators as shall be illustrated in this report.

SECTION A

1. SHORT-TERM (NON-LIFE) INSURANCE COMPANIES

1.1. Number of Direct Non-life Insurers

There were twenty six (26) registered non-life insurance companies as at 30 June 2014. Out of these registered insurers two (2) companies namely Export Credit Guarantee Corporation (ECGC) and Altfin Insurance Company remained suspended from initiating any new business.

1.2. Trend and Distribution of Business

Notwithstanding the general upward trend in the volume of business written since 2010, the volume of business written in terms of gross premium written (GPW) decreased marginally from \$117.82 million for the half year period ended 30 June 2013 to \$116.89 million for the half year ended 30 June 2014. Figure 1 below shows the trend in volume of business for the half years ended 30 June 2010 to 30 June 2014. It is worth noting that the slowing down in the growth of business written in the non-life insurance sector has generally been in tandem with the slowing down of growth in the economy at large. This could be explained by the fact that in general, the insurance sector usually follows the fortunes of the mainstream economy.

The growth in NPW of 4.74% from \$60.84 million for the half year ended 30 June 2013 to \$63.73 million for the period under review, which is higher than the -0.74% witnessed in GPW shows a reduced uptake of reinsurance services and this could be due to increased risk appetite.

Figure 1: Trend in Volume of Business Written in the Half Years Ended 30 June Since 2010



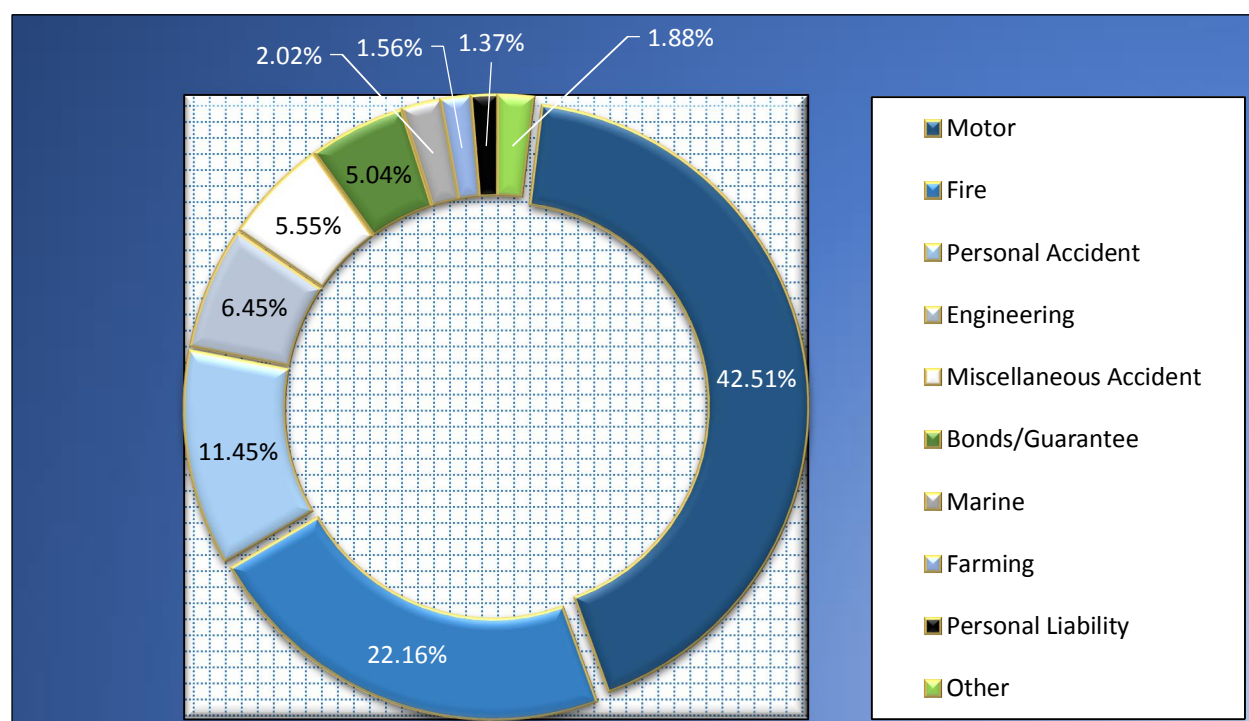
The marginal decrease in the volume was mainly attributable to shrinkage in business generated from aviation insurance. Motor insurance which usually records significant growth witnessed a modest increase in business written of \$0.70 million. Personal accident and engineering insurance were the fastest growing business classes in terms of absolute changes in GPW and recorded combined changes in GPW amounting to \$3.57 million during the half year period under review. Table 1 below shows changes in GPW for all classes of business.

Table 1: Non-life Insurers' Gross Premium Written by Class of Business

Class of Business	Gross Premium Written (\$)		Percentage Change
	30 June 2013	30 June 2014	
Aviation	4,030,887	921,119	-77.15%
Bonds/Guarantee	6,573,900	5,898,960	-10.27%
Engineering	5,803,545	7,543,957	29.99%
Farming	1,626,931	1,821,330	11.95%
Fire	24,441,567	25,917,904	6.04%
Hail	382,400	52,089	-86.38%
Health	702,729	322,211	-54.15%
Hire Purchase	1,533,564	908,591	-40.75%
Marine	2,407,902	2,367,243	-1.69%
Miscellaneous Accident	8,185,784	6,488,544	-20.73%
Motor	49,018,607	49,719,864	1.43%
Personal Accident	11,555,237	13,385,035	15.84%
Personal Liability	1,556,585	1,599,904	2.78%
Total	117,819,638	116,946,751	-0.74%

There were no significant changes in the distribution of business generated with motor and fire insurance remaining the dominant classes of business accounting for a total of 64.67% of total gross premium written during the period under review. Figure 2 below shows the distribution of business written during the half year ended 30 June 2014.

Figure 2: Distribution of Insurers' Gross Premium Written by Business Class



1.3. Capitalization

Out of all the registered and operating non-life insurers, eight (8) companies reported capital positions which were not compliant with the minimum capital requirement of \$1.5 million as at 30 June 2014. See table 2 below. The capital positions for the eight insurance companies translated into capital maintenance ratios which were below the prudential minimum of 100% as shown in Appendix 1C. The Commission is in constant engagement with the said insurers with a view to ensuring the safety and soundness of the insurers in question.

In terms of the solvency margin, all insurance companies except Altfin Insurance Company, were compliant with the prudential minimum solvency ratio of 25% as stipulated in the Insurance Act [Chapter 24:07].

Going forward all short term insurers' compliance to minimum capital requirements will be assessed in terms of Circular 1 of 2014, Statutory Instrument 21 of 2013 as well as the Insurance Act [Chapter 24:07]. The implementation of Circular 1 of 2014 will result in stricter capital requirements which will enhance the protection of policyholders. Insurers should therefore make sure that they mobilise additional capital where necessary.

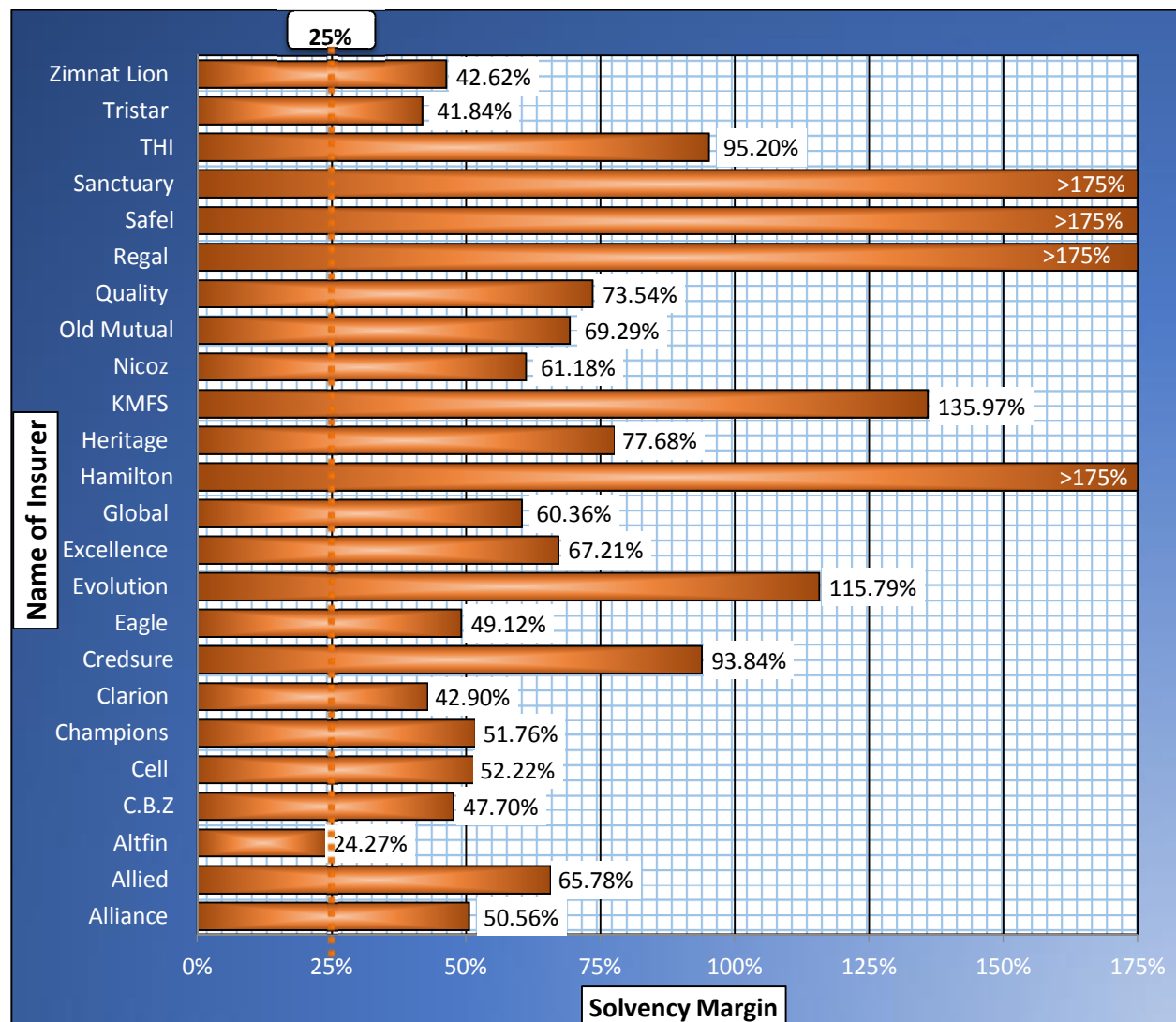
Table 2: Capital Positions for Non-life Insurers

Name of Insurance Company	Reported Capital Position (\$)			
	30-Sep-13	31-Dec-13	31-Mar-14	30-Jun-14
Alliance Insurance Company	3,639,915	4,044,230	4,191,502	4,594,720
Allied Insurance Company	753,788	937,773	773,347	972,643
Altfin Insurance Company	1,119,000	1,335,000	1,048,000	756,000
C.B.Z Insurance Company	1,641,790	1,629,795	1,633,044	1,672,681
Cell Insurance Company	4,142,804	5,132,777	2,719,408	2,427,865
Champions Insurance Company	1,229,372	1,655,678	1,642,987	1,938,703
Clarion Insurance Company	1,640,490	1,113,360	1,491,570	1,606,510
Credit Insurance Zimbabwe	3,396,629	2,791,206	2,734,822	2,724,332
Eagle Insurance Company	2,569,741	3,574,437	3,187,280	3,508,390
Evolution Insurance Company	1,424,458	1,515,876	1,655,555	2,261,583
Excellence Insurance Company	171,407	319,729	515,551	437,060
Global Insurance Company	1,063,470	1,089,389	1,016,712	895,078
Hamilton Insurance Company	1,031,489	953,731	843,511	1,883,386
Heritage Insurance Company	1,930,948	1,733,475	970,192	3,581,713
KMFS Insurance Company	807,906	1,101,418	1,090,750	1,093,565
Nicoz Diamond Insurance Company	9,316,000	9,614,000	10,966,000	10,246,000
Old Mutual Insurance Company	9,921,819	11,648,111	12,778,150	13,557,075
Quality Insurance Company	1,342,000	1,411,000	1,163,000	1,426,000
Regal Insurance Company	2,396,498	2,522,191	2,659,896	2,711,283
Safel Insurance Company		1,405,056	1,388,844	1,351,012
Sanctuary Insurance Company	1,353,105	677,031	1,348,702	1,395,468
THI Insurance (Pvt) Ltd	3,546,726	3,961,574	3,494,137	3,291,590
Tristar Insurance Company	1,167,477	939,365	1,077,435	1,533,333
Zimnat Lion Insurance Company	3,662,023	3,822,754	3,822,754	4,155,987

Key:

	The insurer was compliant with the minimum capital requirement of \$1.5 million effective 30 June 2014.
	The insurer was compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013, but was yet to comply with \$1.5 million that became effective on 30 June 2014.
	The insurer was not compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013.

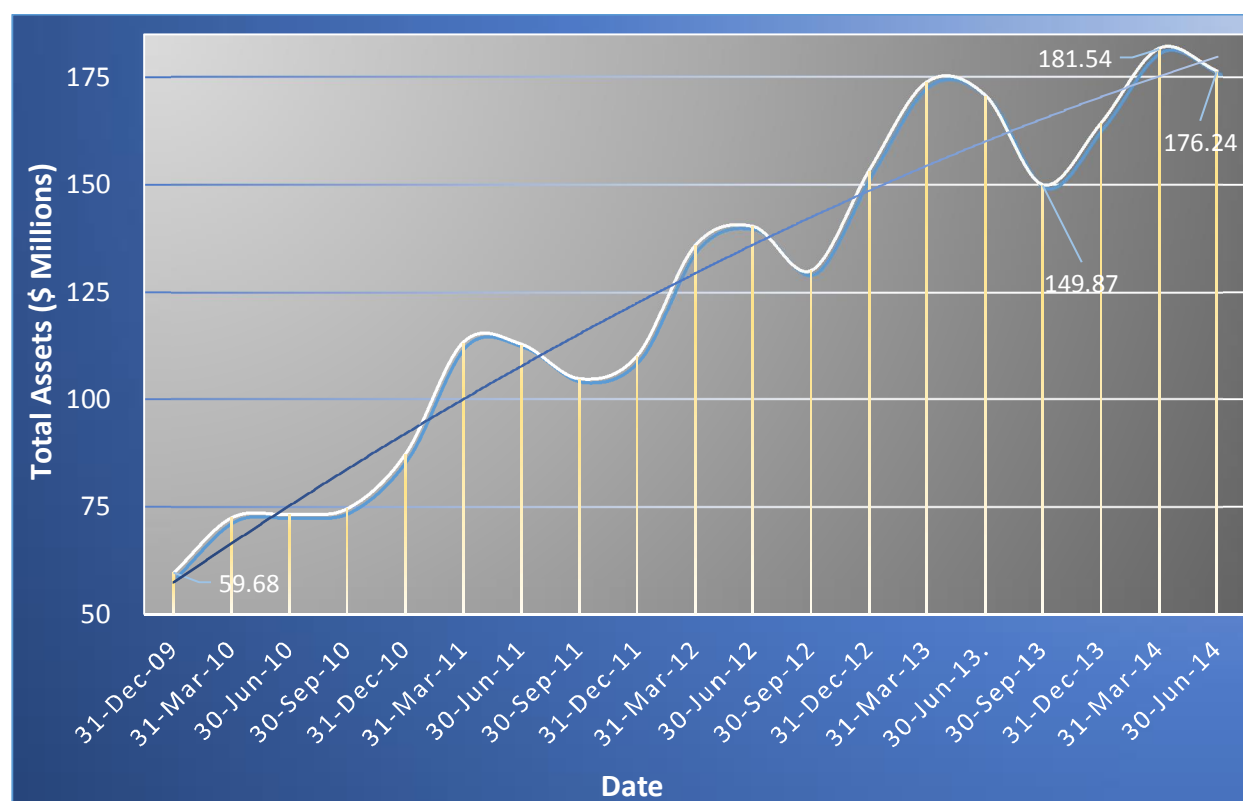
Figure 3: Solvency Margin for Non-life Insurers



1.4. Asset Quality

Although total assets for non-life insurers have generally been on the upward trend since 2009, there was a 2.92% decline that was reported during the quarter under review from \$181.4 million as at 31 March 2014 to \$176.24 million as at 30 June 2014. The decline was mainly attributable to decreases in premium debtors as well as cash and cash equivalents, which decreases amounted to \$6.25 million and \$4.80 million respectively. The decrease in cash and cash equivalents could be attributable to the liquidity challenges currently being experienced in the economy. Figure 4 below shows the trend in total assets since 2009.

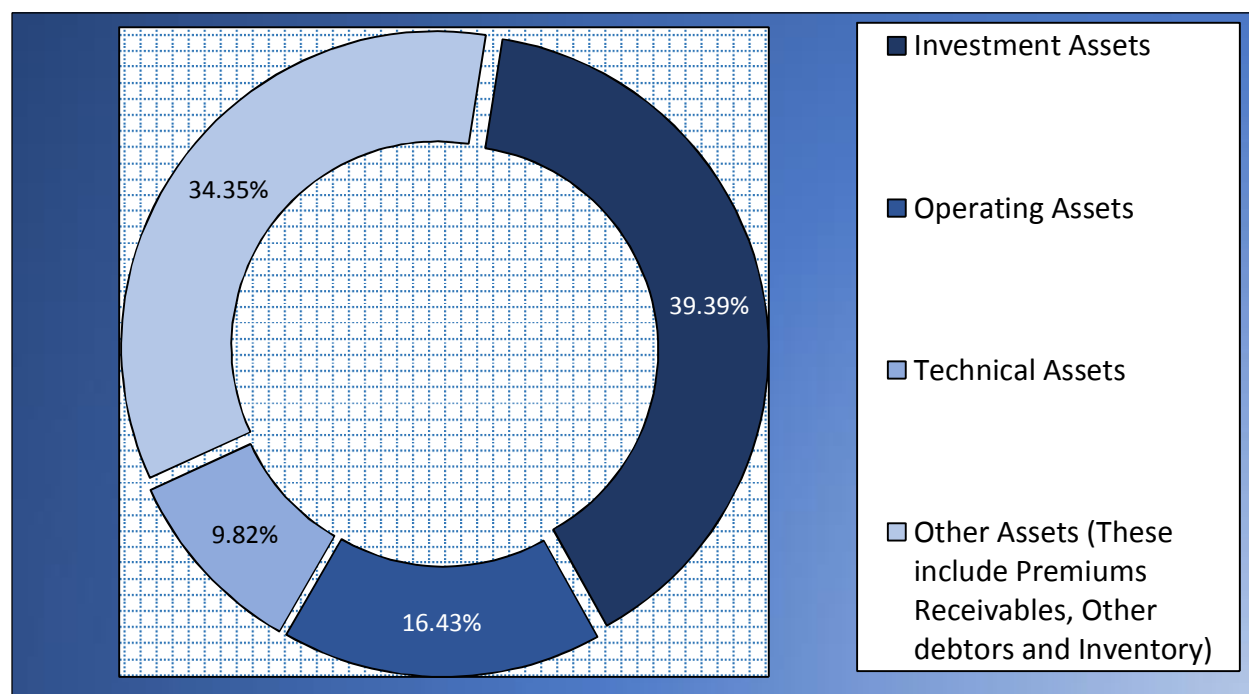
Figure 4: Quarterly Trend in Total Assets Since 2009



The distribution of the total asset base for direct non-life insurers remained largely unchanged with investment assets and operating assets accounting for 39.39% and 16.43% of total assets respectively. Total investment assets amounted to \$69.42 million as at 30 June 2014, which compares favourably with net outstanding claims, technical provisions and reinsurance creditors which amounted to \$58.53 million as at the same date.

Other assets shown in Figure 5 below were mainly made up of debtors, including premiums receivable, and amounted to \$60.55 million as at 30 June 2014. While the Commission notes that the non-life insurers have managed to largely maintain the levels of investment assets, we urge insurers to devise strategies to ensure increase in investment assets. Such strategies will result in enhancement of income generating capacity of assets as well as improve sustainability of the same.

Figure 5: Breakdown of Short-Term Insurers' Total Assets

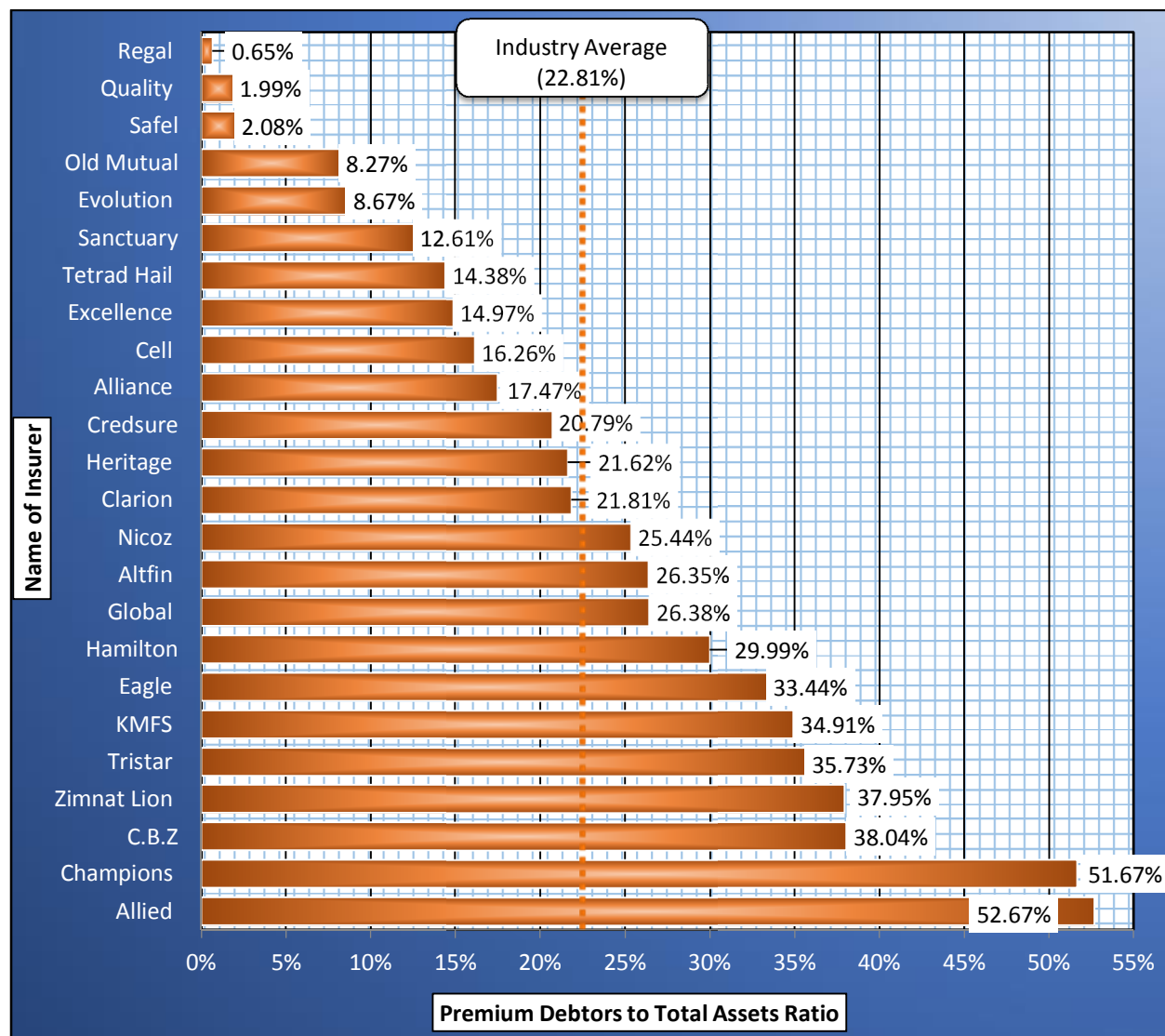


NB: Operating Assets are those assets acquired for insurers' own use in the conduct of ongoing operations. Technical assets refers to reinsurers' share of outstanding claims and deferred acquisition cost.

All non-life insurers remained non-compliant to the requirement to invest in prescribed assets with an industry average prescribed asset ratio of 0.39% as at 30 June 2014 which was significantly below the regulatory minimum of 5%. Only seven (7) insurers out of the twenty four (24) operational insurers had investments in prescribed assets as at 30 June 2014 compared to six (6) reported as at 31 March 2014.

The industry continued to be saddled by challenges emanating from non-collection of cash in respect of some business generated. The industry average ratio of premium debtors to total assets was 22.81% as at 30 June 2014 reflecting no significant improvement from 23.83% reported as at 31 March 2014. The premium debtors to assets ratio ranged from 0.65% to 52.67% as shown in Figure 6 below. High ratios of premium debtors to assets compromise the asset quality of insurers since premium debtors are not readily available to be used to support day to day operations as well as earn investment income.

Figure 6: Premium Debtors to Total Assets Ratios



1.5. Reinsurance

The industry average retention ratio for non-life insurers for the half year ended 30 June 2014 was 54.52% which reflects an increase from 51.64% that was reported in the comparative period in 2013. Retention ratios for individual insurers were ranging from 21.96% to 99.62% as shown in Figure 7 below. In terms of retention by class of business, hail and motor insurance recorded the highest retention ratios of 89.43% and 76.70% respectively. On the other hand aviation and health insurance recorded the lowest retention ratios. This was mainly due to inadequate capacity especially in aviation insurance. Figure 8 below shows the retention ratios by business class. Notable changes in risk appetite were reported in hail and farming insurance.

Figure 7: Retention Ratios for Short Term Insurance Companies

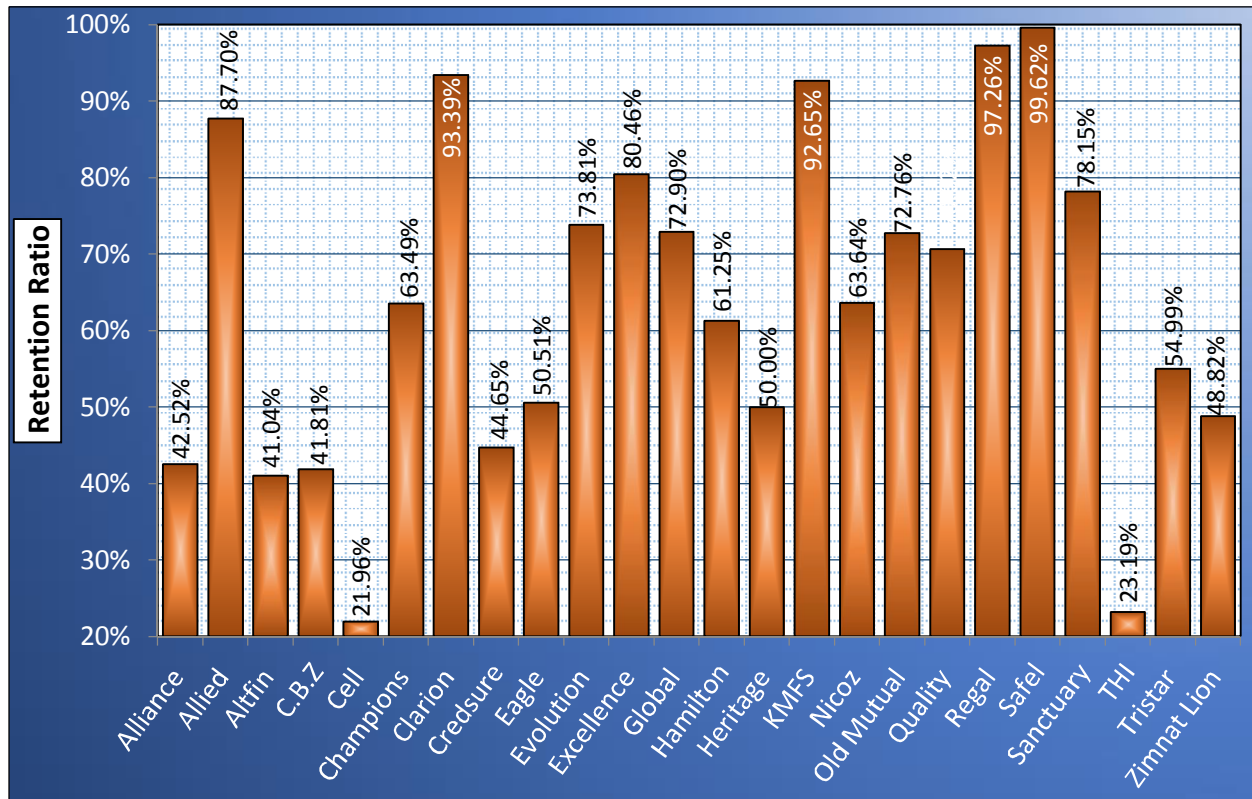
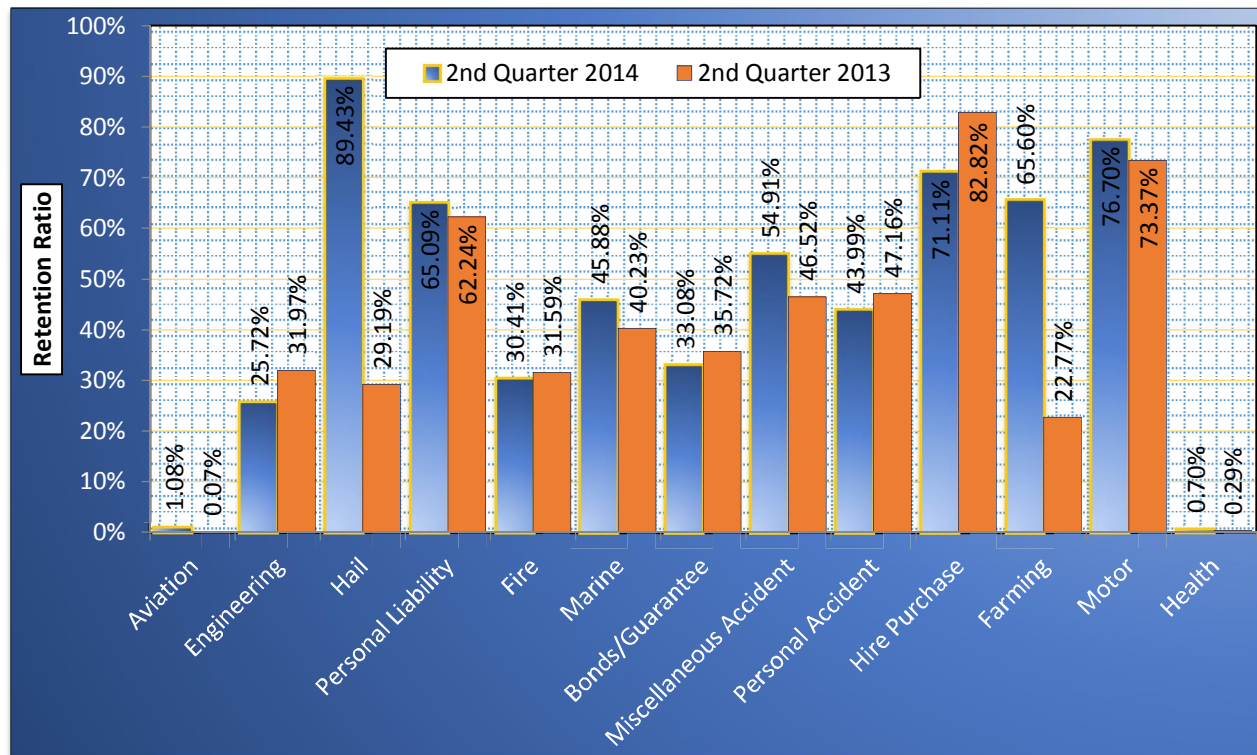


Figure 8: Non-life Insurers' Average Retention Ratios for Different Classes of Business



The non-life insurance sector reported a marked improvement in terms of premium remittances to reinsurers with the ratio of reinsurance creditors to reinsurance premium ratio decreasing from 48.85% for the half year ended 30 June 2013 to 40.01% for the six months period under review. The reinsurance creditors to reinsurance premium ranged from nil to 554% (See Appendix 1C). Whilst the Commission commends the insurers whose payments to reinsurers are up to date, it urges those insurers lagging behind to improve their remittances to reinsurers so as to avoid compromising their reinsurance arrangements.

Reinsurers' share of outstanding claims accounted for 49.95% of total outstanding claims as at 30 June 2014 compared to 52.37% reported as at 31 March 2014. This implies less reliance on reinsurers in terms of outstanding claims as well as marginal decrease in exposure to inherent credit risk emanating from claims recoverable from reinsurers.

1.6. Actuarial Liabilities

Total provisions for non-life insurers amounted to \$43.13 million as at 30 June 2014 reflecting a 6.02% increase from \$40.64 million reported as at 31 March 2014. Total Unearned Premium Reserves (UPR) amounted to \$33.49 million as at 30 June 2014 while total Incurred But Not Reported (IBNR) claims amounted to \$9.59 million as at the same date.

The direct non-life insurance industry as a whole was considered to be having adequate investment assets to cover all technical provisions as at 30 June 2014. This is evidenced by the industry average technical reserves to total assets ratio as well as total outstanding claims (including IBNR) to total assets ratios of 24.44% and 11.05% respectively which were well below the investments to total assets ratio of 39.39% as at 30 June 2014. This implies that on average, the industry had adequate resources in its investment portfolio to withstand adverse events.

Although the total investment assets at industry level were considered adequate to withstand adverse events, a total of eight insurers were considered to be having inadequate investment assets to withstand adverse events with their investment assets to total assets ratio significantly below their technical provisions to total assets ratio.

On the other hand, two insurers namely Altfin Insurance Company and Excellence Insurance Company were considered to be having inadequate investment assets to cover all their outstanding claims (including IBNR) as at 30 June 2014. This is shown by their investment assets which were below their outstanding claims. See Appendix 1C for the ratios in respect of all non-life insurers.

1.7. Earnings

Non-life insurers reported a 19.44% shrinkage in total profit after tax from \$7.38 million for the half year ended 30 June 2013 to \$5.95 million for the half year ended 30 June 2014. The shrinkage in total profit after tax was mainly attributable to a 10.69% surge in operating expenses from \$21.88 million for the half year ended 30 June 2013 to \$24.22 million for the period under review. Although the industry as a whole reported profit, six (6) underwriters reported losses during the period under review. (See Appendix 1A).

The industry average return on equity and return on assets deteriorated from 12.31% and 4.33% for the half year ended 30 June 2013 to 8.24% and 3.37% respectively for the period under review owing to the reasons already highlighted above.

Non-life insurers incurred total net claims amounting to \$22.66 million which translated into an average loss ratio of 40.77% for the half year ended 30 June 2014 reflecting an improvement from 42.35%, reported for the comparative period in 2013. Notwithstanding the improvement in the loss ratio, the profitability of the core business of non-life insurers, i.e. underwriting, deteriorated as reflected by the increase in the combined ratio from 89.65% to 90.62%. Such a deterioration was mainly attributable to an increase in operating expenses which resulted in the change in net expense ratio from 42.21% for the half year ended 30 June 2013 to 43.58% for the half year period under review.

The income base for insurers was considered sustainable since the bulk of the revenue was generated from the insurers' core business of insurance. This is reflected by the investment income to net premium written ratio of 2.79% reported during the period under review.

1.8. Liquidity

Total cash and near cash assets for non-life insurers decreased by 8.10% from \$45.94 million as at 31 March 2014 to \$42.20 million as at 30 June 2014. The decrease in cash and near cash assets could be in line with the general liquidity problems currently being faced by the economy at large. The liquid assets for the non-life insurers remained concentrated in three insurers namely Old Mutual Insurance Company (formerly RM Insurance Company), Alliance Insurance Company and Nicoz Diamond Insurance Company. The three insurers contributed 63.25% of total cash and cash equivalents.

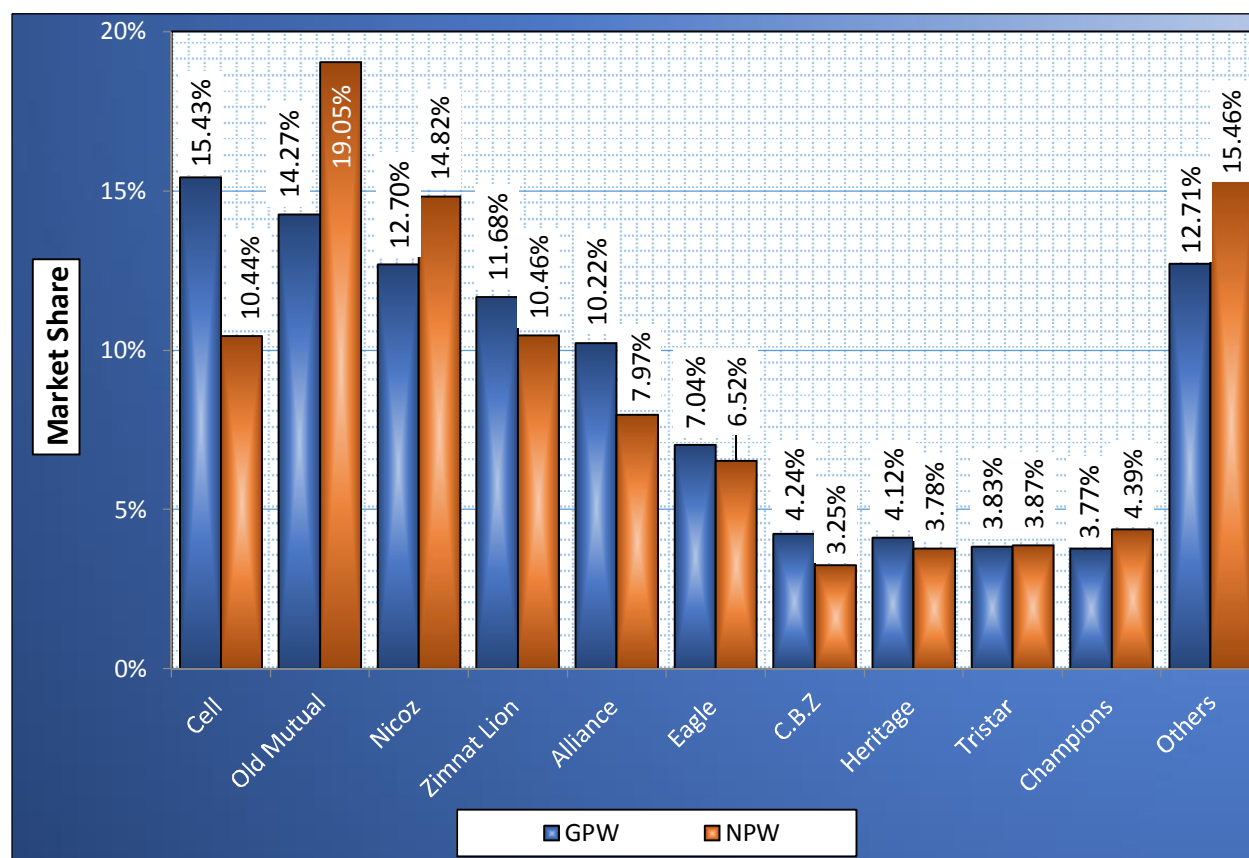
Notwithstanding the decrease in the amount of liquid assets at the disposal of non-life insurers, other indicators of liquidity highlighted below show that there was a marginal improvement in the liquidity of the non-life industry as a whole. Total working capital increased by 3.38% from \$26.63 million as at 31 March 2014 to \$27.53 million as at 30 June 2014. On the other hand, the industry average current ratio and the acid test ratio improved from 125.34% and 44.58% as at 31 March 2014 to 129.52% and 46.02% respectively as at 30 June 2014. This shows that on average there were more liquid assets for every dollar worth of current liabilities as at 30 June 2014 compared to 31 March 2014.

Whilst the Commission notes the general improvement particularly in the acid test ratio, it considers an acid ratio of 46.02% to be still too low for the short term insurance industry since it shows that the insurers, on average, do not have readily liquid assets to meet current liabilities. A minimum of 100% will ensure that there are enough resources to meet all current liabilities. The acid test ratio was ranging from negative 0.57% to 163.67% as shown in Appendix 1C and the Commission is concerned with a situation where some insurers record very low acid test ratios. Such a low acid test ratio could be the reason behind some delays in the settlement of claims as well as cases where claims are being settled in instalments. It is therefore imperative for all insurers to devise ways to improve and maintain liquidity at levels which enable timely settlement of claims in full to boost confidence in the insurance industry.

1.9. Market Share for Non-life Insurers

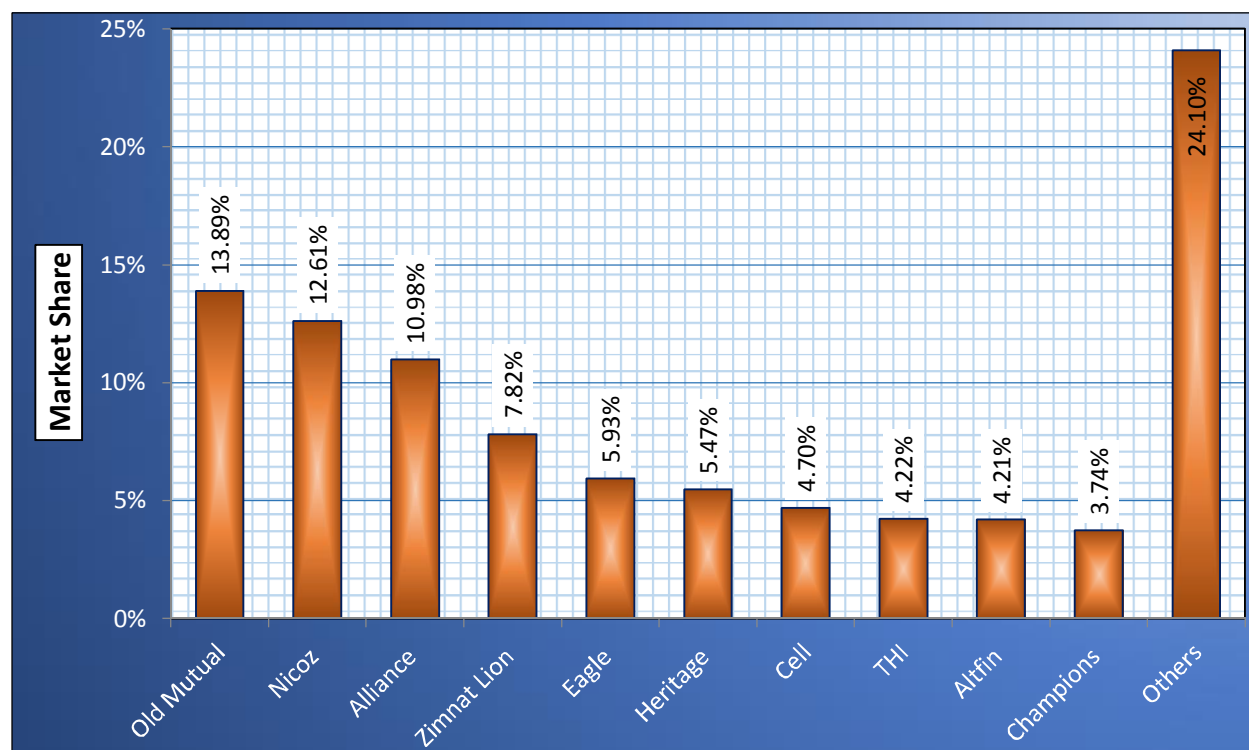
The market for non-life insurers was considered unconcentrated with Herfindahl Indices of 0.09 in terms of both GPW and NPW for the half year ended 30 June 2014. Cell Insurance Company, Old Mutual Insurance Company and Nicoz Diamond Insurance Company were the market leaders in terms GPW and NPW with a combined market shares of 42.40% and 44.31% respectively. Figure 9 below shows the market share in terms of the business written.

Figure 9: Market Share for Insurers in Terms of GPW and NPW



In terms of total assets, Old Mutual Insurance Company, Nicoz Diamond Insurance Company, and Alliance Insurance Company were the market leaders as shown in Figure 10 below. The three insurers commanded a combined market share of 37.48% in terms of total assets as at 30 June 2014. The market shares for all individual insurers are shown in Appendix 1C.

Figure 10: Market Share for Insurers in Terms of Total Assets



SECTION B

2. REINSURANCE COMPANIES

Please note that the figures for Zep-Re used in this report are only for the institution's Zimbabwean Country Office and not for the company as a whole.

2.1. Number of Non-life Reinsurers

The number of registered reinsurers as at 30 June 2014 was nine (9) the same number reported as at 31 March 2014.

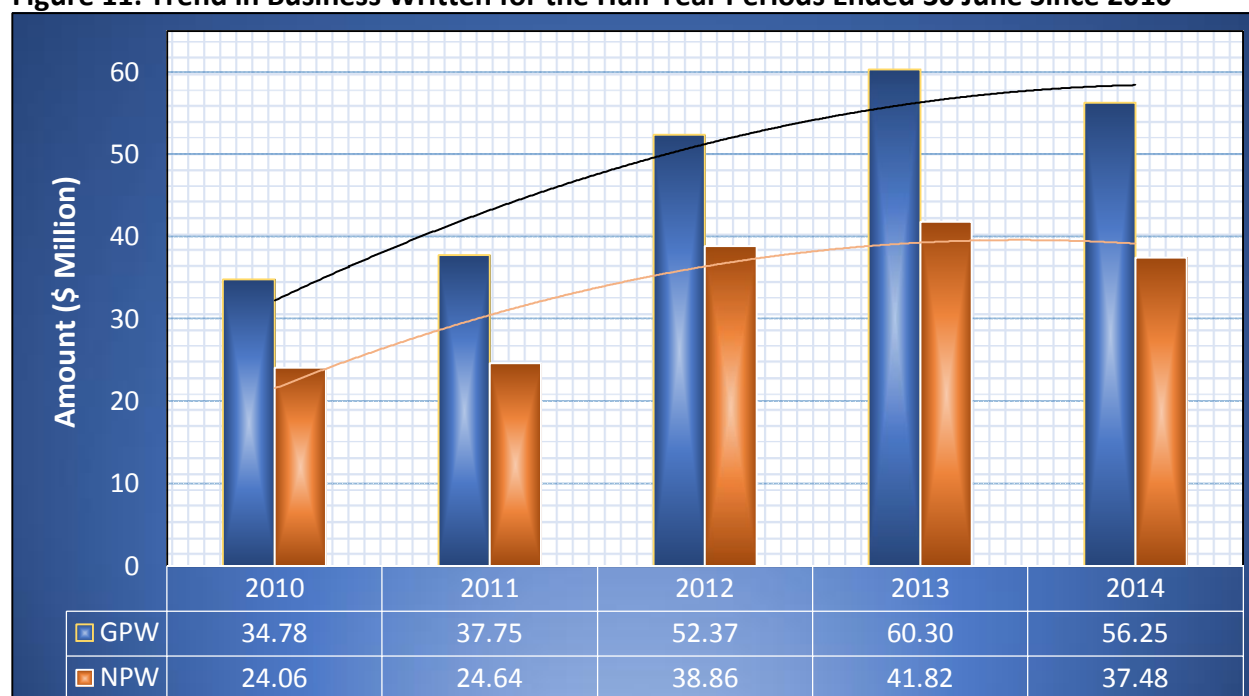
2.2. Trend and Distribution of Business Written

Total gross premium written (GPW) for the half year ended 30 June 2014 amounted to \$56.25 million, reflecting a 6.72% decrease from \$60.3 million reported for the half year ended 30 June 2013. The decrease in total GPW was mainly driven by shrinkage in business generated from motor as well as engineering insurance as shown in Table 3 below.

Total gross premium reported by non-life reinsurers of \$56.25 million was above reinsurance premium of \$53.17 million reported by non-life insurers during the half year ended 30 June 2014. This could be attributable to sourcing of business by reinsurers from outside Zimbabwe.

The business retained by the reinsurers on their books declined by 10.38% from \$41.82 million for the six months ended 30 June 2013 to \$37.48 million for the half year ended 30 June 2014. This implies that the potential for profitability for the reinsurers may have been reduced since retaining less business results in a reduced scope for making profits. The trend in business written is shown in Figure 11 below.

Figure 11: Trend in Business Written for the Half Year Periods Ended 30 June Since 2010



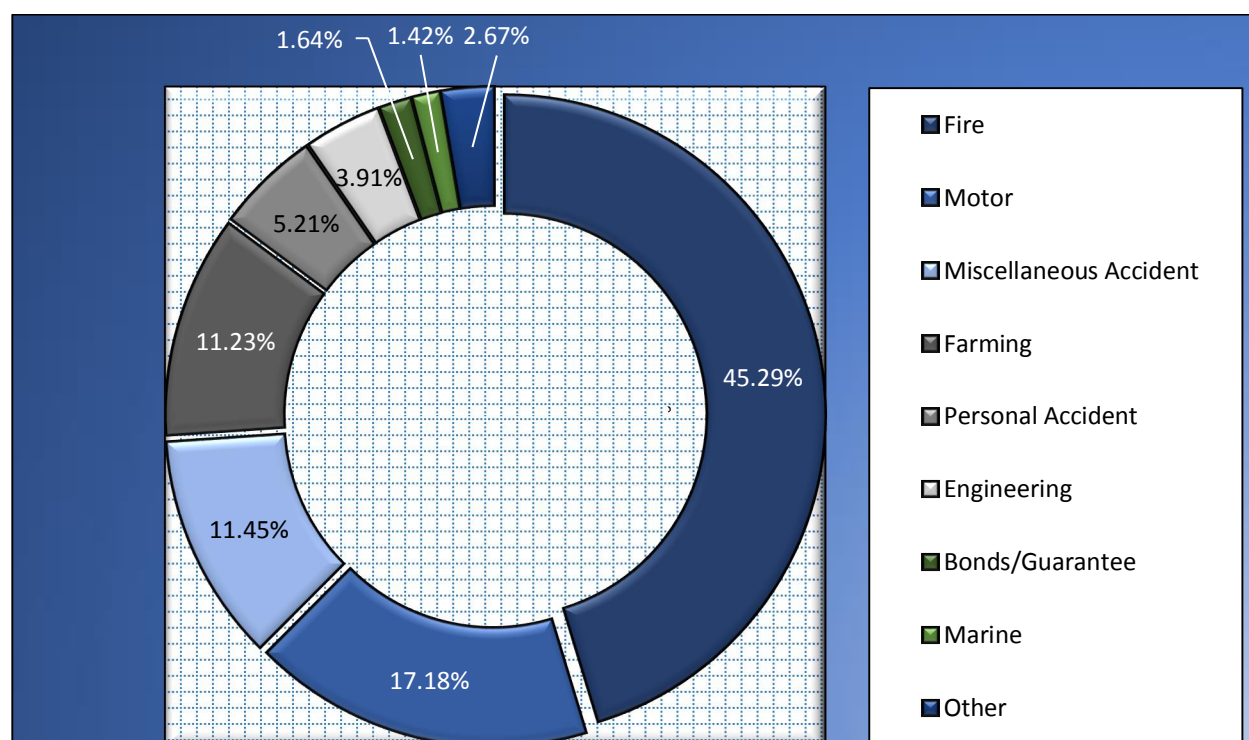
Health and hail insurance were the fastest growing classes of insurance in terms of GPW while aviation and marine insurance recorded the largest percentage decreases in business generated. Table 3 below shows growth rates in different classes of business.

Table 3: Reinsurers' Gross Premium Written by Class of Business

Class of Business	Gross Premium Written (\$)		Percentage Change
	30 June 2013	30 June 2014	
Aviation	1,081,139	503,664	-53.41%
Bonds/Guarantee	626,345	922,066	47.21%
Engineering	3,413,739	2,197,025	-35.64%
Farming	6,948,858	6,315,456	-9.12%
Fire	23,576,440	25,477,305	8.06%
Hail	33,100	204,250	517.07%
Health	21,110	263,769	1,149.50%
Hire Purchase	32,990	58,417	77.07%
Marine	1,029,119	798,954	-22.37%
Miscellaneous Accident	8,642,150	6,441,859	-25.46%
Motor	11,906,383	9,663,371	-18.84%
Personal Accident	2,576,872	2,932,738	13.81%
Personal Liability	413,096	469,773	13.72%
Total	60,301,341	56,248,647	-6.72%

The business generated by reinsurers remained skewed towards fire and motor insurance which accounted for 45.29% and 17.18% respectively, of total gross premium written for the half year ended 30 June 2014. The proportions of business attributable to different classes of business are shown diagrammatically in Figure 12 below.

Figure 12: Distribution of Reinsurers' GPW by Business Class



2.3. Capitalization

Of all the registered non-life reinsurers only New Reinsurance Company reported a capital position which was not compliant with the minimum capital requirement of \$1.5 million as shown in Table 4 below. On the other hand, all non-life reinsurers reported solvency margins which were compliant with the prudential minimum of 25%, as shown in Figure 13 below. The Commission is continuously engaging all insurers and reinsurers not compliant with the minimum regulatory requirements with a view to having the institutions regularize their positions.

Although all reinsurers except New Reinsurance Company reported capital positions compliant with the minimum requirement, it remains to be seen if the same reinsurers will remain compliant with the same requirements after taking cognizance of Circular 1 of 2014. The Commission will therefore be ascertaining the same in due course.

Table 4: Capital Positions for Non-life Reinsurers

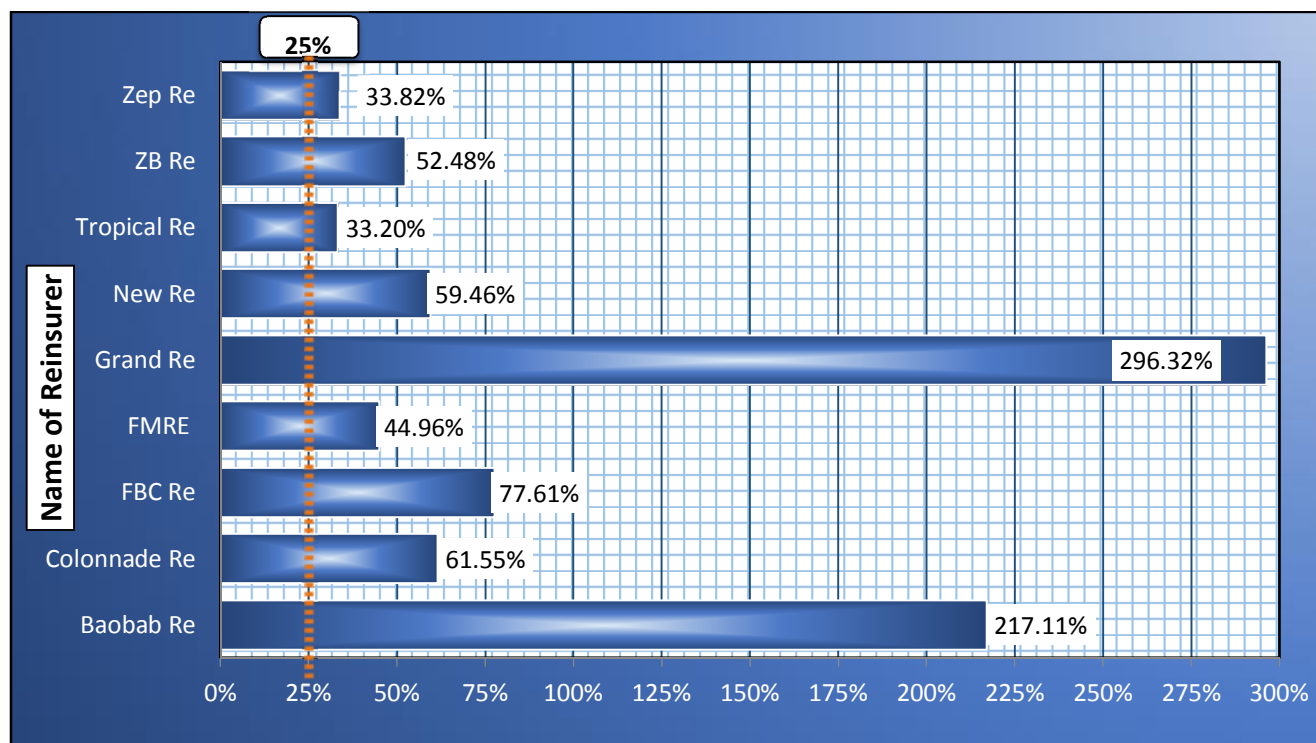
Name of Company	Reported Capital Position (\$)			
	30 Sep 2013	31 Dec 2013	31 Mar 2014	30 Jun 2014
Baobab Reinsurance Company	30,090,562	30,127,167	30,305,972	27,349,700
Colonnade Reinsurance Company	1,457,969	1,542,528	1,688,746	1,883,334
FBC Reinsurance Company	8,173,776	8,729,648	9,029,204	8,995,865
FMRE Property & Casualty	5,872,433	5,984,592	6,320,226	5,681,998
Grand Reinsurance Company	9,580,891	9,443,454	9,742,422	9,763,093
New Reinsurance Company	1,007,000	980,000	1,045,000	1,006,000
Tropical Reinsurance Company	2,239,290	2,323,580	2,778,270	2,916,200
ZB Reinsurance Company	6,722,390	7,015,442	7,220,570	7,814,990
PTA Reinsurance Company (Zep Re)*	552,587	626,075	732,756	1,337,454

*The figure only shows the position for the Zimbabwean country Office. The audited capital position for Zep Re as at 31 December 2013 was \$105.73 million.

Key:

	The reinsurer was compliant with the minimum capital requirement of \$1.5 million effective 30 June 2014.
	The reinsurer was compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013, but was yet to comply with \$1.5 million which became effective on 30 June 2014.
	The reinsurer was not compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013.

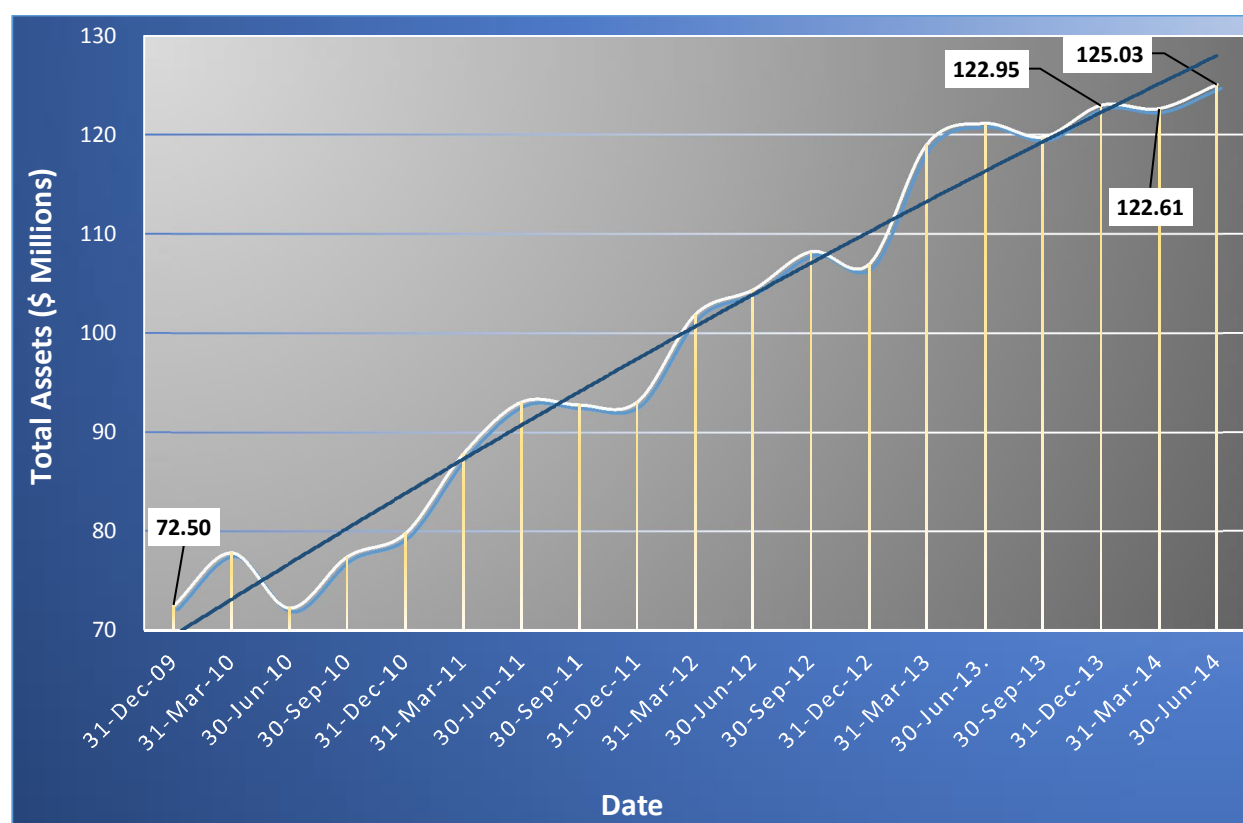
Figure 13: Solvency Margin for Reinsurers



2.4. Asset Quality

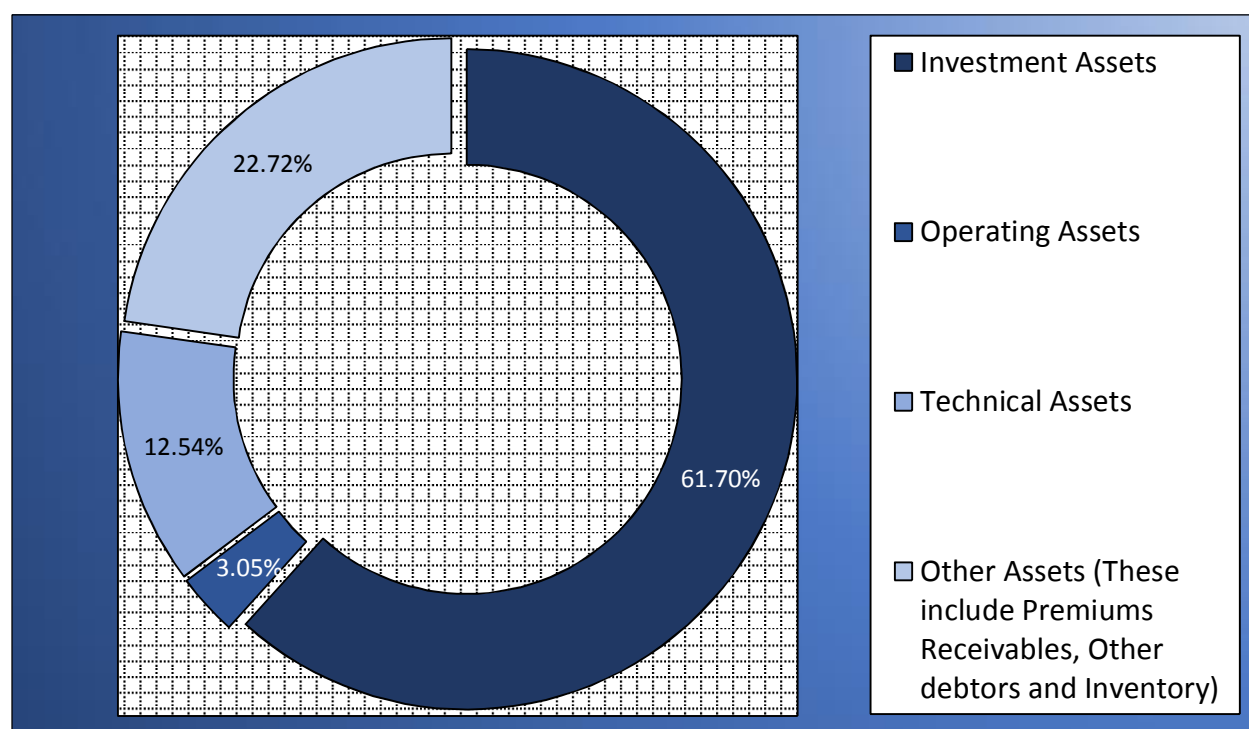
Non-life reinsurers recorded a 1.97% increase in total assets from \$122.61 million as at 31 March 2014 to \$125.03 million as at 30 June 2014. This shows the continued upward trend in total assets since 2009 as shown in Figure 14 below. The increase in total assets during the quarter under review was largely driven by changes in retrocessionaires' share of outstanding claims. Although total assets increased during the quarter under review, total investments, in particular cash and cash equivalents decreased, a situation which may have compromised the income generating capacity of the reinsurers' total assets. Figure 14 below shows the trend in total assets since 2009.

Figure 14: Trend in Total Assets for Non-life Reinsurers since 2009



The distribution of reinsurers' total assets remained largely unchanged with investment assets continuing to account for the bulk of total assets. As at 30 June 2014 investment assets amounted to \$77.14 million and contributed 61.70% of total assets. Figure 15 below shows the distribution of reinsurers' total assets as at 30 June 2014.

Figure 15: Breakdown of Non-life Reinsurers' Total Assets

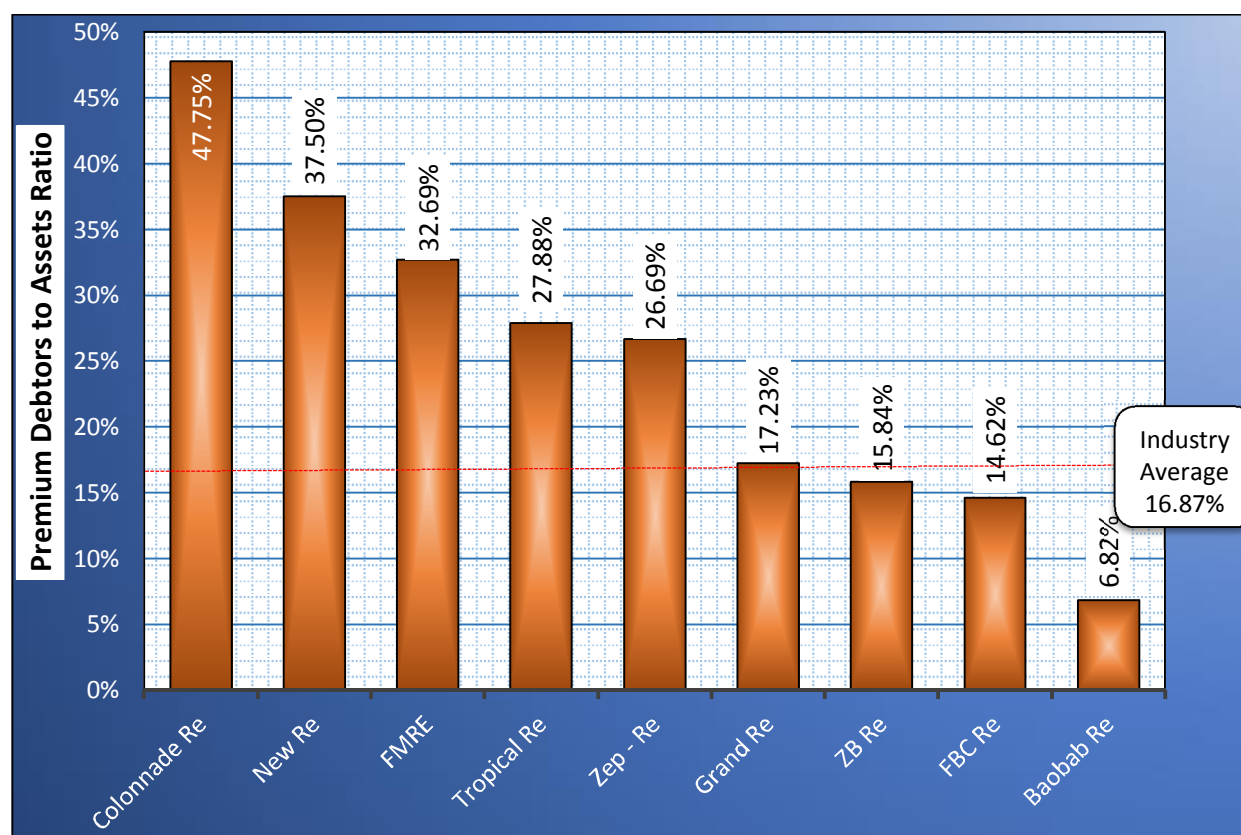


The industry average prescribed assets ratio for reinsurers as at 30 June 2014 was 1.45% reflecting a significant improvement from 0.73% reported as at 31 March 2014. The number of reinsurers who had investments in prescribed assets increased from one as at 31 March 2014 to five (5) as at 30 June 2014. Notwithstanding the improvement, only FBC Reinsurance Company was compliant with the minimum prescribed assets ratio of 5%.

The industry average premium debtors to assets ratio improved marginally from 17.18% as at 31 March 2014 to 16.87% as at 30 June 2014. As shown in Figure 16 below premium debtors to total assets ratios for individual reinsurers as at 30 June 2014 ranged from 6.82% to 47.75%. Reinsurance companies with significant portions of their assets tied up in premium debtors compromise the quality of their assets as well as their solvency. More so given the implications of Circular 1 of 2014 that disqualifies all premium debtors aged over 120 days for the purposes of calculating the capital position of a reinsurance company. In addition, premium debtors may not be readily available to support the operations of the reinsurers on a day to day basis.

Other key performance indicators in respect of asset quality for reinsurers are shown in Appendix 2C.

Figure 16: Premium Debtors to Assets and Premium Debtors to GPW Ratios

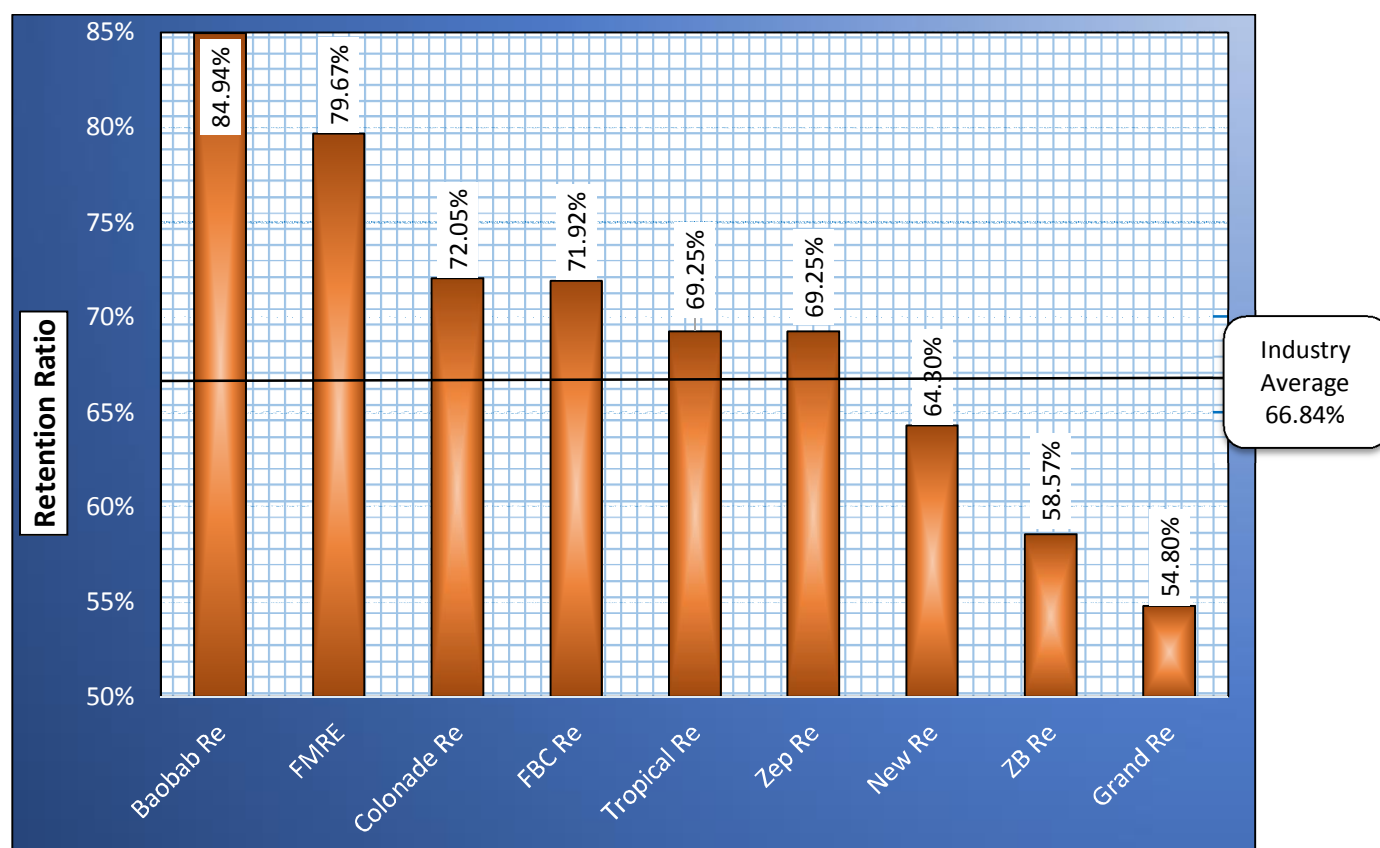


2.5. Retrocession

The industry average retention ratio for reinsurers was 66.64% for the half year ended 30 June 2014, indicating a decrease from 69.35% reported for the half year ended 30 June 2013. The decrease in the retention ratio shows a marginal decrease in the risk appetite for non-life reinsurers. The decrease in risk appetite resulted in a marginal increase in the leakage from the Zimbabwean economy through retrocession premiums from \$18.48 million for the half year ended 30 June 2013 to \$18.76 million for the half year ended 30 June 2014. Retention ratios for non-life reinsurers ranged from 54.80% to 84.94% as shown in Figure 17 below.

On average total retrocession creditors for all non-life reinsurers accounted for 62.71% of total retrocession premiums. However, the retrocession creditors to retrocession premiums for reinsurers ranged from nil to 573.03%. See ratios for all reinsurers in Appendix 2C. Should there be netting arrangements, reinsurers with high retrocession creditors to retrocession premiums are at risk of seriously compromising the effectiveness of their retrocession arrangements.

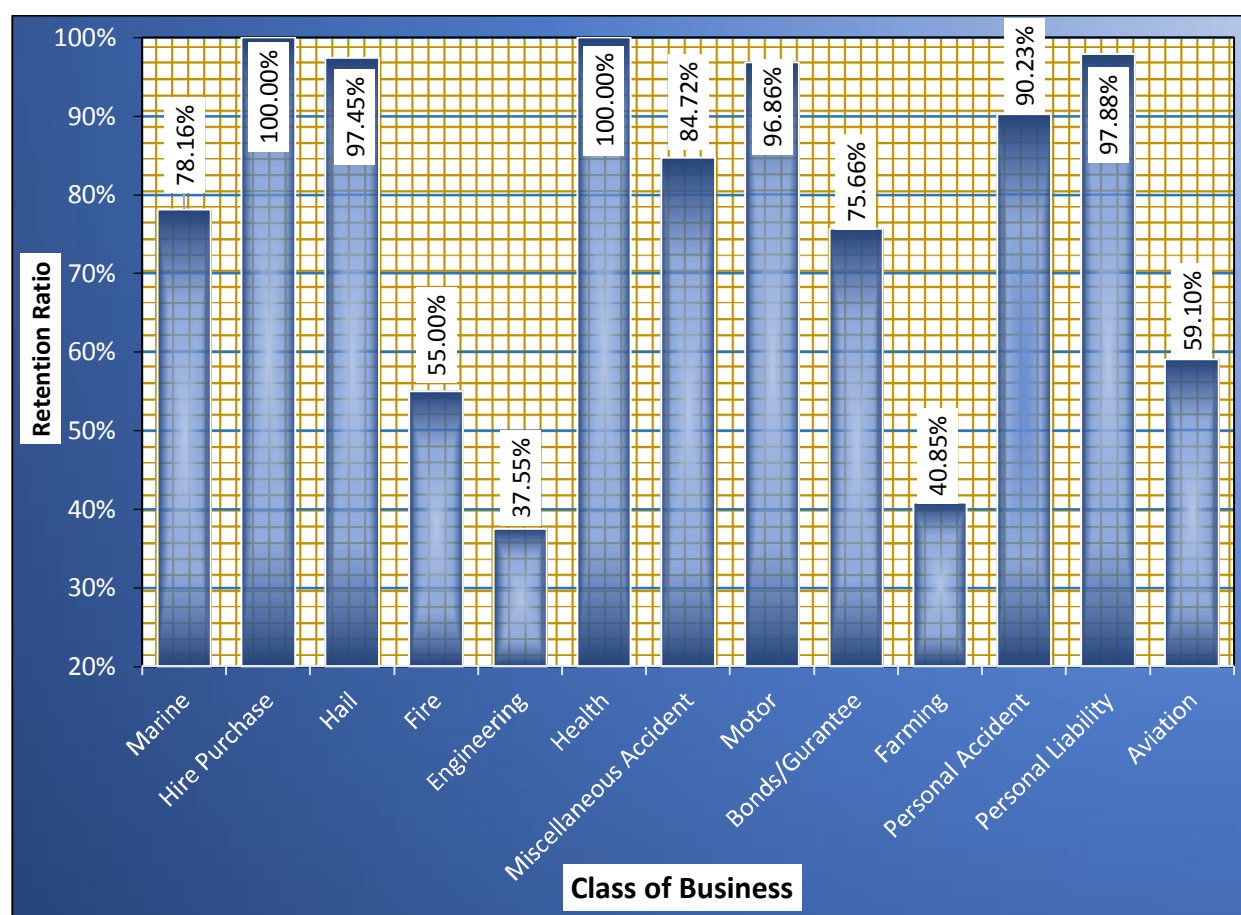
Figure 17: Retention Ratios for Reinsurers



Retrocessionaires' share of outstanding claims accounted for 57.22% of total outstanding claims as at 30 June 2014 compared to 60.19% reported for the half year ended 30 June 2013. This implies that for every dollar worth of outstanding claims as at 30 June 2014, retrocessionaires will be liable to pay about fifty seven cents. The decrease in the ratio of retrocessionaires' share of outstanding claims to total outstanding claims shows a reduction in the exposure to inherent credit risk arising from retrocession arrangements. The ratios for different reinsurers are shown in Appendix 2C.

Health and hire purchase recorded the highest retention ratios owing to adequate capacity by the local reinsurers in the same business classes. On the other hand engineering and farming reported the lowest retention ratios of 37.55% and 40.85% respectively. Figure 18 below shows the non-life reinsurers' average retention ratios in different classes in respect of business written during the half year ended 30 June 2014.

Figure 18: Retention Ratios by Class of Insurance Business



2.6. Actuarial Liabilities

Non-life reinsurers reported total technical provisions of \$35.98 million as at 30 June 2014 indicating a 27.16% increase from \$28.30 million reported as at 31 March 2014. Total Unearned Premium Reserves (UPR) amounted to \$18.32 million as at 30 June 2014 while total Incurred But Not Reported (IBNR) claims amounted to \$17.67 million as at the same date.

The resilience of non-life reinsurers to adverse events deteriorated over the quarter under review as evidenced by the increase in total provisions to assets ratio as well as total outstanding claims ratio to assets ratio from 23.08% and 12.74% as at 31 March 2014 to 28.78% and 16.89% respectively as at 30 June 2014. Notwithstanding the decrease in the above mentioned ratios, the ratios were considered to be within acceptable levels since they indicate that the reinsurers had adequate resources to withstand adverse events. See Appendix 2C for the ratios in respect of all reinsurers.

2.7. Earnings

Total profit after tax for non-life reinsurers decreased significantly by 87.24% from \$5.62 million for the half year ended 30 June 2013 to \$0.72 million for the half year ended 30 June 2014. The decrease in profit after tax was mainly driven by the shrinkage in business written, already alluded to in section 2.2 above coupled with the increases in total incurred claims from \$12.36 million for the half year ended 30 June 2013 to \$15.11 million for the period under review. All the reinsurers, except Baobab Reinsurance Company reported losses during the period under review. The magnitude of the losses, i.e. \$2.51 million had a significant negative influence on the combined figures for all the reinsurers.

Return on equity and return on assets decreased significantly from 8.77% and 4.64% for the half year ended 30 June 2013 to 1.07% and 0.57% respectively for the half year ended 30 June 2014, further confirming the reduced performance of reinsurers in terms of profitability. Return on equity for reinsurers ranged from negative 9.18% to 47.11% (See Appendix 2C).

The deterioration of the overall profitability of the reinsurers was spurred by the worsening performance of the reinsurers' core business which is reflected by the falling underwriting margin from 12.15% for the half year ended 30 June 2013 to 3.88% for the half year ended 30 June 2014. This is also reflected in the significant increase in the combined ratio from 87.85% for the half year ended 30 June 2013 to 96.12% for the half year ended 30 June 2014. This implies that, out of every dollar of premium earned by the reinsurers, only about four (4) cents was recorded as underwriting profit. The increase in the combined ratio was mainly buoyed by the upsurge in the loss ratio from 33.61% for the half year ended 30 June 2013 to 43.31% for the half year period under review.

Underwriting remained the dominant source of revenue for reinsurers with investment income accounting for a mere 0.27% of net premium written (NPW) during the half year period under review. However, investment income to investment assets of 2.15% was considered too low a return to meaningfully provide adequate income buffer when a combined ratio deteriorates.

2.8. Liquidity

The liquidity position of the non-life reinsurance sector deteriorated during the quarter under review. In line with the liquidity challenges being experienced in the economy, total cash and near cash assets for non-life reinsurers decreased by 7.29% from \$26.14 million as at 31 March 2014 to \$24.23 million as at 30 June 2014. Total liquid assets for non-life reinsurers remained concentrated in three institutions, namely, ZB Reinsurance Company, FBC Reinsurance Company and FMRE Reinsurance Company, and contributed a total of 81.78% of total cash and cash equivalents.

Total working capital also decreased by 7.27% from \$19.46 million as at 31 March 2014 to \$18.04 million as at 30 June 2014. On the other hand, the industry average current ratio and the acid test ratio deteriorated from 142.74% and 57.44% as at 31 March 2014 to 134.63% and 46.53% respectively as at 30 June 2014. This shows that on average the reinsurers had less liquid assets to cover current liabilities as at 30 June 2014 compared to 31 March 2014.

The acid test ratio for individual non-life reinsurers as at 30 June 2014 ranged from 1.42% to 195.43%. See Appendix 2C for key liquidity indicators in respect of all reinsurers.

2.9. Market Share for Reinsurers

The market for non-life reinsurers was considered moderately concentrated with Herfindahl Indices of 0.16 and 0.15 in terms of gross premium written and net premium written respectively for the half year ended 30 June 2014.

The market leaders remained ZB Reinsurance Company, FMRE Property and Casualty, and FBC Reinsurance Company with combined market shares of 59.34% and 55.42% in terms of gross premium written and net premium written respectively. Figure 19 below shows the market shares for all the reinsurers in terms of gross premium written and net premium written.

In terms of total assets, Baobab Reinsurance Company continued to record the highest market share followed by FBC Reinsurance Company and Grand Reinsurance Company. The market shares in terms of total assets are shown in Figure 20 below.

Figure 19: Market Share for Reinsurers in Terms of GPW and NPW

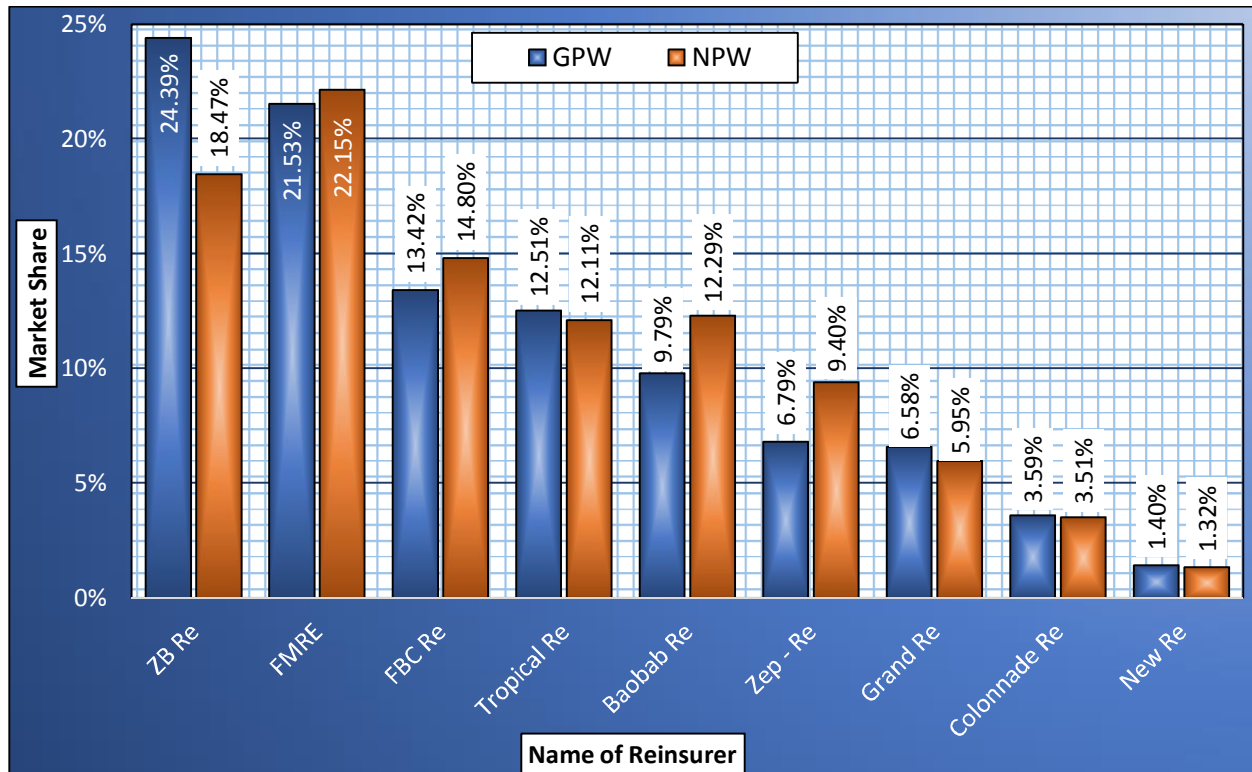
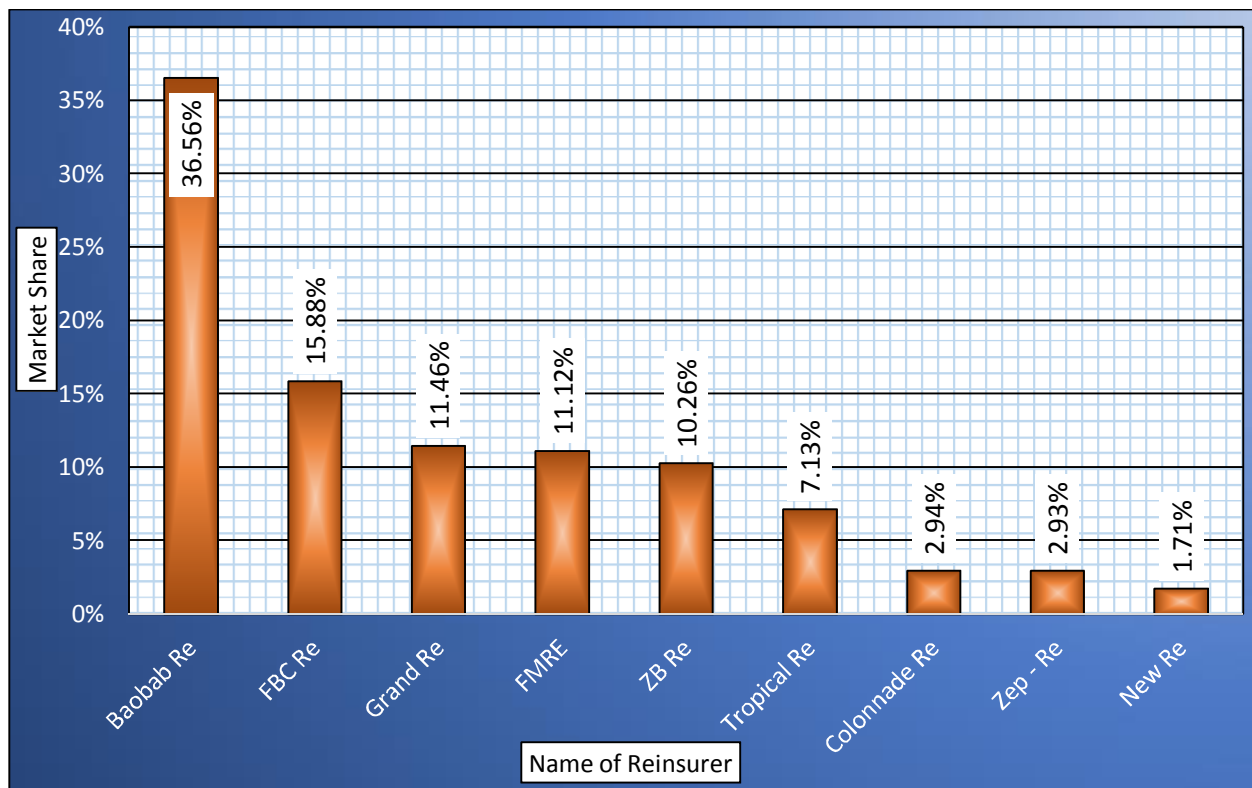


Figure 20: Market Share for Reinsurers in Terms of Total Assets



SECTION C

3. INSURANCE BROKERS

3.1 Number of Insurance Brokers

Following the registration of Excel Risk Solutions on 22 May 2014 there were thirty one (31) registered insurance brokers as at 30 June 2014 compared to thirty (30) reported as at 31 March 2014. The Commission also registered an insurance broker called Coverlink Insurance Brokers on 6 August 2014 bringing the number of registered insurance brokers to thirty two (32).

Out of the thirty two (32) registered insurance brokers twenty eight (28) were operational as at 30 June 2014. Revival Insurance Brokers, Excel Risk Solutions and Coverlink Insurance Brokers were, at the time of writing this report, yet to be authorized by the Commission to commence operations since they were still putting in place the necessary structures. On the other hand Navistar Insurance Brokers remained suspended from conducting insurance business pending determination of their appeal to have the suspension lifted.

3.2 Business Written

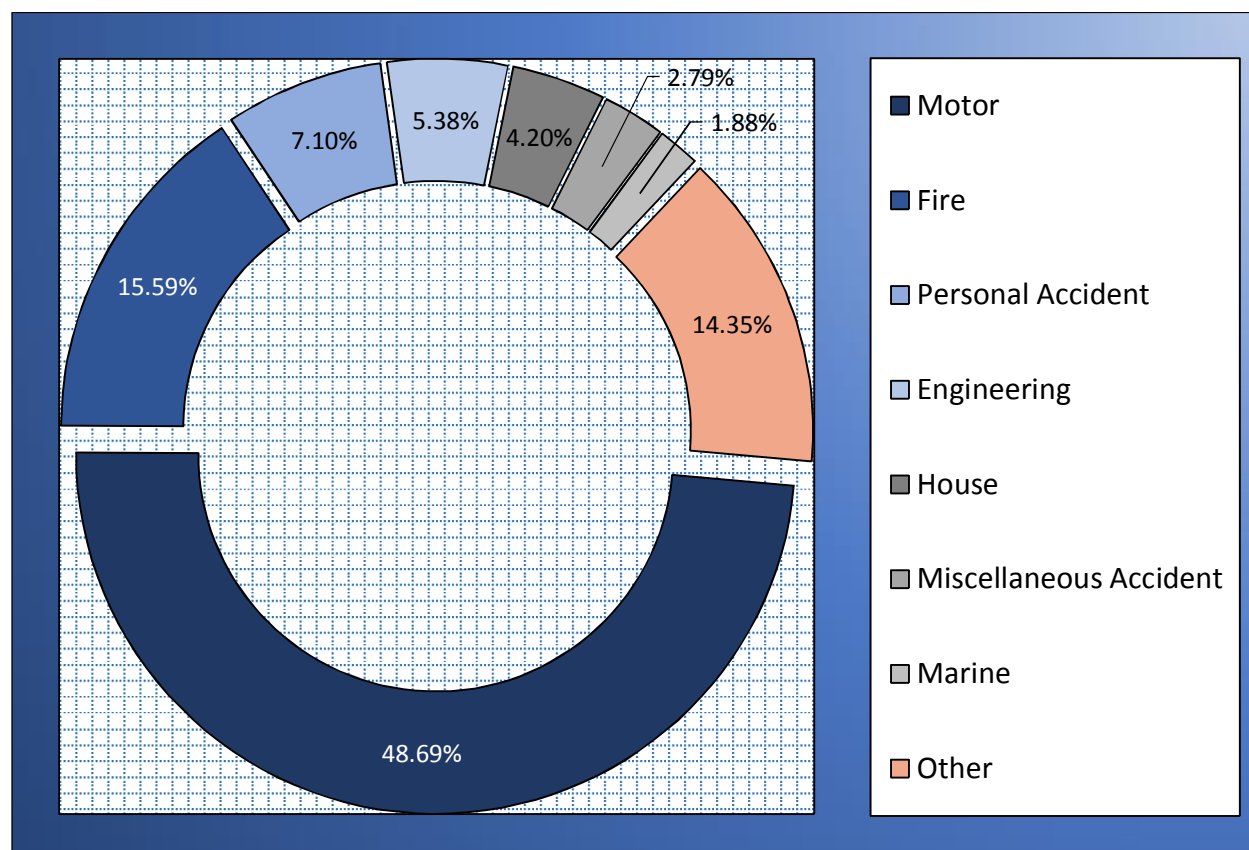
Insurance brokers collected total premium amounting to \$44.82 million for the half year ended 30 June 2014, representing a 10.43% decrease from \$50.04 million reported in the comparative period in 2013. The business generated by insurance brokers constituted 34.09% of total gross premium written by non-life insurers during the half year ended 30 June 2014 compared to 42.47% reported for the half year period ended 30 June 2013. This shows that insurance brokers are not the major producers of business for insurers in the non-life insurance market and their share of business written declined over the year. Table 5 below shows the business written by the insurance brokers.

The business generated by the insurance brokers during the half year ended 30 June 2014 was skewed towards motor and fire insurance. The two business classes accounted for a total of 64.28% of total premium written by insurance brokers. The dominance of fire and motor insurance is also shown in the figures reported by non-life insurers as indicated under Section A of this report. Figure 21 below shows the distribution of business generated during the period under review.

Table 5: Indicators of Business Written for Insurance Brokers

Indicator	30 June 2013	30 June 2014	Percentage Change
Premium Written	50,037,357	44,816,927	-10.43%
Brokerage Commission	8,700,547	8,334,414	-4.21%
Premium Written Less Commission	40,965,468	36,482,513	-10.94%
Commission Incurred	371,342	300,427	-19.10%
Net Brokerage Commission	8,700,547	8,033,987	-7.66%
Other Income	854,057	907,783	6.29%
Operating Expenses	8,414,342	7,791,681	-7.40%
Profit Before Tax	1,140,342	1,150,089	0.85%
Taxation	319,701	178,639	-44.12%
Profit After Tax	820,561	971,450	18.39%

Figure 21: Distribution of Insurance Brokers' Gross Premium Written by Business Class



3.3 Earnings

Notwithstanding the decrease in the business generated by insurance brokers, total profit after tax increased by 18.39% from \$0.82 million for the half year ended 30 June 2013 to \$0.97 million for the half year ended 30 June 2014. The improvement in total profit after tax was mainly driven by a decrease in operating expenses from \$8.41 million to \$7.79 million. A total of five insurance brokers out of twenty eight (28) operational insurance brokers reported losses during the half year under review. See Appendix 3A.

The industry average return on equity (ROE) and return on assets (ROA) also improved from 9.49% and 3.47% for the half year ended 30 June 2013 to 11.75% and 4.10% respectively for the period under review. Net brokerage income accounted for 97.30% of total income indicating that the insurance brokers generated their income from their core business. This shows that the income of the insurance brokers is sustainable in the long term.

3.4 Capitalization

All operating insurance brokers except Afro-Asian Reinsurance Brokers and Rainbow Insurance Brokers reported capital positions which were above \$100,000. Discussions are in progress with the two brokers to have their unsatisfactory capital positions regularized. The capital positions for the individual insurance brokers ranged from negative \$2,034 to \$1.08 million as shown in table 6 below. The median capital position as at 30 June 2014 was \$194,253.50.

The trend in capital position for all the operating brokers is shown in Table 6 below.

Table 6: Reported Capital Levels for Insurance Brokers

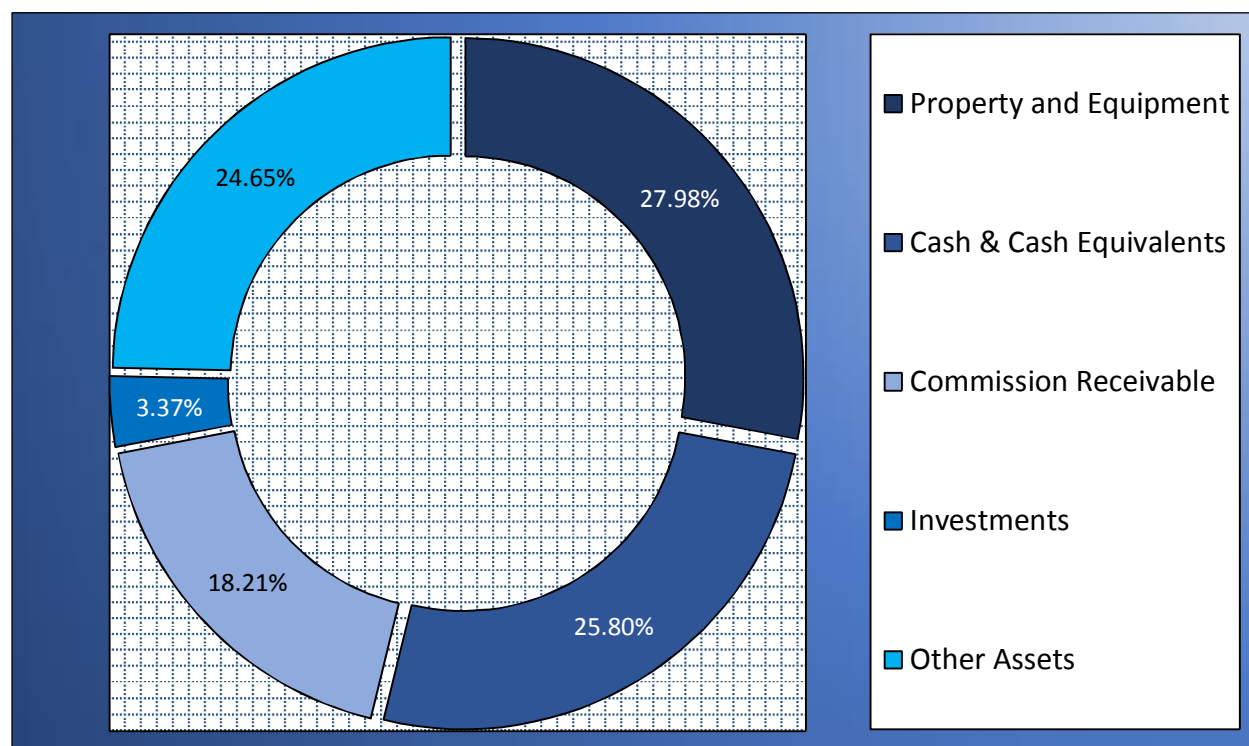
Name Insurance Broker	30-Sep-13	31-Dec-13	31-Mar-14	30-Jun-14
1. Afro-Asian Reinsurance Brokers	10,843	9,939	(2,034)	(2,034)
2. Alexander Forbes Risk Services	333,628	531,600	559,301	516,511
3. Ambassador Insurance Brokers	129,123	126,976	126,976	127,008
4. Amour Khan Insurance Brokers	136,960	138,323	136,481	132,465
5. Auto & General Insurance Brokers	445,290	445,980	434,100	434,150
6. Broksure Insurance Brokers	111,548	103,050	103,813	100,719
7. Capitol Insurance Brokers	546,706	598,614	599,889	600,819
8. Care Insurance Brokers	132,722	121,841	180,389	201,081
9. Eaton & Youngs (Private) Limited	491,455	441,502	433,289	446,027
10. Eureka Insurance Brokers	246,441	330,873	307,549	311,133
11. Glenrand MIB Zimbabwe	349,431	284,631	155,996	249,998
12. Goldstick Insurance Brokers	117,782	103,164	70,489	176,790
13. Hostcare Insurance Brokers	145,965	146,645	145,800	146,557
14. HRIB (Private) Limited	145,179	225,452	340,141	389,117
15. Hunt Adams & Associates	80,676	105,002	116,789	103,751
16. Insuraserive (Private) Limited	415,234	85,669	79,265	163,646
17. L. A. Guard Insurance Brokers	102,332	102,290	97,700	108,384
18. Marsh Insurance Brokers	685,020	781,239	978,757	1,080,415
19. Minerva Risk Solutions	672,692	808,157	904,106	516,027
20. Momentum Insurance Brokers	373,269	506,492	515,260	515,260
21. Paul Mkondo Insurance Brokers	167,315	161,465	126,484	126,484
22. Perpro Insurance Brokers	157,965	162,003	172,697	183,461
23. Progressive Insurance Brokers	654,910	726,971	686,900	724,314
24. Rainbow Insurance Brokers	10,847	7,004	14,443	11,346
25. SATIB Insurance Brokers	177,368	50,111	195,683	187,426
26. TIB Insurance Brokers	103,123	102,662	104,892	107,021
27. Victory Insurance Brokers	431,511	408,610	397,467	390,054
28. Zimbabwe Insurance Brokers	293,739	264,250	318,981	217,115

3.5 Asset Quality

Total assets for insurance brokers amounted to \$23.70 million as at 30 June 2014, reflecting a 4.45% decrease from \$24.80 million as at 31 March 2014. The decrease in total assets was mainly driven by changes in property and equipment as well as investments. The decrease in investments from \$0.97 million as at 31 March 2014 to \$0.69 million as 30 June 2014 compromises the asset quality for insurance brokers in terms of income generating capacity.

The asset base for insurance brokers was skewed towards property and equipment as well as cash and cash equivalents which accounted for a total of 53.83% of total assets as at 30 June 2014. Figure 22 below shows the distribution of total assets as at 30 June 2014.

Figure 22: Distribution of Insurance Brokers' Total Assets



3.6 Market Share for Insurance Brokers

The market for insurance brokers was considered unconcentrated with Herfindahl Indices of 0.09 in terms of both net brokerage income and premium written. The market leaders in terms of net brokerage commission remained Minerva Risk Solutions, Marsh Insurance Brokers Zimbabwe and Alexander Forbes Risk Services Zimbabwe with a combined market share of 39.04%.

On the other hand, Minerva Risk Solutions, Progressive Insurance Brokers and HRIB Insurance brokers were the market leaders in terms of total assets as shown in Figure 24 below.

Figure 23: Market Share in Terms of Net Brokerage Income and Premium Written

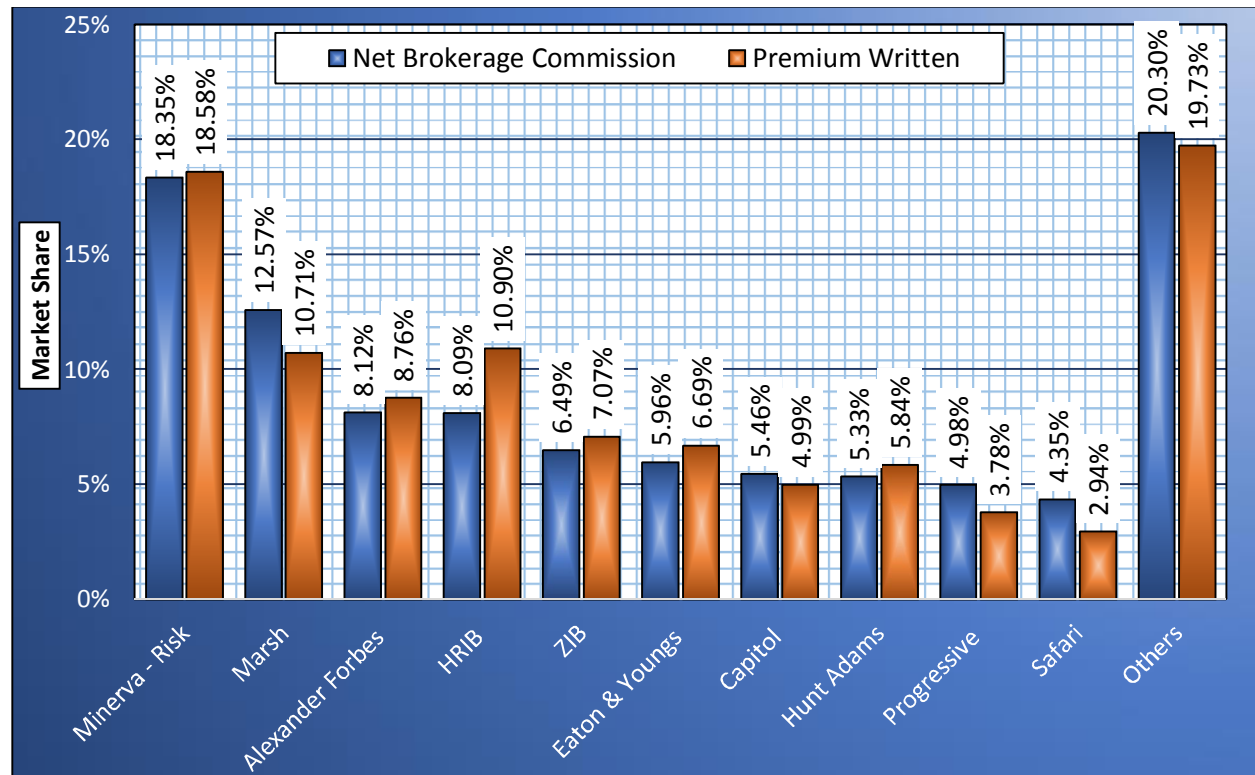
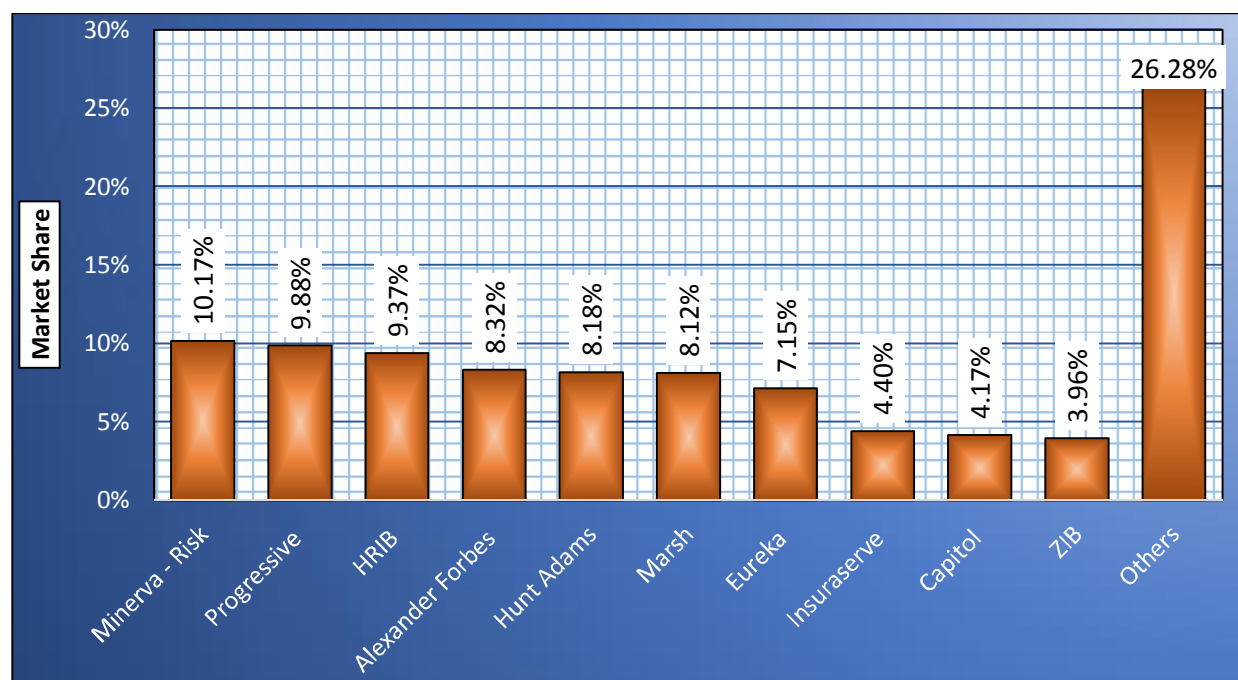


Figure 24: Market Share for Insurance Brokers in Terms of Total Assets



SECTION D
4. REINSURANCE BROKERS

4.1 Number of Reinsurance Brokers

The number of reinsurance brokers as at 30 June 2014 was three (3), the same number reported as at 31 March 2014.

4.2 Business Written

Total premium written by reinsurance brokers for the half year ended 30 June 2014 amounted to \$33.14 million reflecting a 13.44% increase from \$29.21 million reported for the half year ended 30 June 2013. Non-life reinsurers generated the bulk of their business through use of reinsurance brokers. This is evidenced by the ratio of total premium reported by reinsurance brokers as a proportion of reinsurers' gross premium written.

The brokerage commission generated from the business written during the half year period under review amounted to \$8.92 million and accounted for 26.91% of total premium. Table 7 below shows the business written by reinsurance brokers during the half year period under review.

Table 7: Indicators of Business Written for Reinsurance Brokers

Indicator	30 Jun 2013	30 Jun 2014	Percentage Change
Premium Written	29,208,614	33,135,068	13.44%
Brokerage Commission	1,305,951	8,917,451	582.83%
Premium Written Less Commission	27,909,710	24,217,616	-13.23%
Commission Paid	-	7,540,472	-
Net Brokerage Commission	1,305,951	1,376,979	5.44%
Other Income	31,939	29,506	-7.62%
Operating Expenses	665,066	830,268	24.84%
Profit Before Tax	672,824	576,217	-14.36%
Taxation	176,285	152,046	-13.75%
Profit After Tax	496,539	424,171	-14.57%

4.3 Capitalization

As shown in Table 8 below, all reinsurance brokers reported capital positions which were above \$100,000 as at 30 June 2014.

Table 8: Capital Levels for Reinsurance Brokers

Name of Company	Reported Capital Position (\$)			
	30 Sep 2013	31 Dec 2013	31 Mar 2014	30 Jun 2014
1. Minerva Re (Private) Limited	1,085,991	1,949,169	2,197,597	2,504,758
2. Pan African Re	304,669	363,915	388,165	416,353
3. Reinsurance Brokers International	130,786	152,328	97,446	119,570

4.4 Earnings for Reinsurance Brokers

Although reinsurance brokers recorded significant growth in the volume of business written as highlighted above, total profit after tax decreased by 14.57% from \$496,539 for the half year ended 30 June 2013 to \$424,171 for the comparative period in 2014. The decrease in total profit after tax was mainly attributable to an upsurge in commission incurred as well as rising operating costs.

Owing to the declining total profit after tax, the industry average return on equity (ROE) and return on assets (ROA) deteriorated from 23.10% and 3.22% for the half year ended 30 June 2013 to 13.95% and 2.26% respectively for the period under review.

4.5 Asset Quality

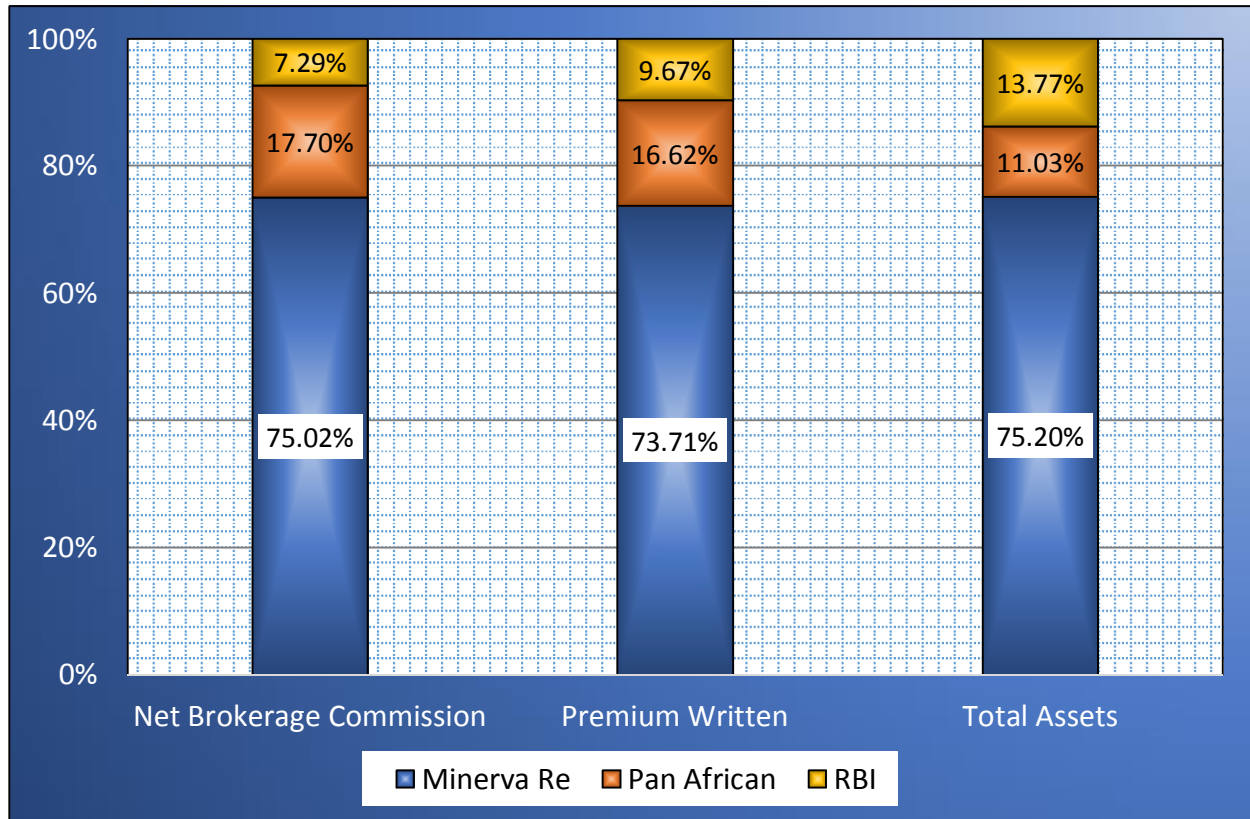
The asset base for reinsurance brokers increased by 22.69% from \$15.3 million as at 31 March 2013 to \$18.77 million as at 30 June 2014. The increase in total assets was mainly attributable to an upsurge in premium receivables as well as cash and cash equivalents. The increase in premium receivables may compromise the asset quality of the reinsurance broking sector since the premium debtors are not readily available for use to support daily operations.

The asset base for reinsurance brokers was mainly skewed towards debtors which were largely made up of premium receivables and accounted for 57.33% of total assets as at 30 June 2014.

4.6 Market Share for Reinsurance Brokers

As shown in Figure 25 below, Minerva Re (Private) Limited continued to be the market leader in respect of net brokerage commission, premium written and total assets.

Figure 25: Market Share for Reinsurance Brokers



SECTION E

5. APPENDICES

Appendix 1A: Statement of Comprehensive Income for Non-life Insurers \$('000)

	Alliance	Allied	Altfin	C.B.Z	Cell Insurance Company Promoter	Cell Business	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Old Mutual	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat Lion	Total
GPW	11,948	660	999	4,955	14,580	3,452	4,402	2,303	2,416	8,225	1,997	370	795	974	4,822	367	14,842	16,683	657	951	41	686	1,639	4,482	13,649	116,895
Reinsurance	6,867	81	589	2,883	11,379	-	1,607	152	1,337	4,071	523	72	215	377	2,411	27	5,397	4,545	193	26	0	150	1,259	2,017	6,986	53,166
NPW	5,081	579	410	2,072	3,202	3,452	2,795	2,151	1,079	4,154	1,474	298	580	596	2,411	340	9,445	12,138	464	925	41	536	380	2,465	6,663	63,729
Change in UPR	(177)	(42)	(178)	592	681	1,141	229	181	81	429	475	(156)	9	97	370	(157)	1,045	1,960	(352)	33	35	(11)	(417)	485	1,812	8,163
NEP	5,258	620	588	1,480	2,521	2,311	2,567	1,970	998	3,725	999	454	571	499	2,041	497	8,400	10,178	816	892	6	548	797	1,979	4,851	55,566
Net Incurred Claims	2,835	47	517	660	1,298	400	516	677	322	1,794	393	134	237	121	309	83	3,839	4,819	208	134	5	145	762	699	1,702	22,656
Net Commission Incurred	(9)	42	(37)	(18)	(94)	-	222	171	(160)	314	140	38	53	(18)	286	8	768	1,090	51	105	4	3	(84)	56	548	3,477
Technical Result	2,433	531	108	838	1,317	1,911	1,829	1,122	836	1,617	467	282	281	396	1,446	405	3,793	4,268	557	653	(2)	400	119	1,225	2,601	29,433
Operating Expenses	2,105	323	742	885	1,507	2,554	1,266	953	869	1,321	162	249	302	337	982	413	2,672	2,386	437	415	51	392	228	1,177	1,492	24,218
Underwriting Result	328	208	(634)	(47)	(190)	(642)	563	169	(32)	297	304	33	(21)	60	464	(8)	1,121	1,882	120	238	(54)	8	(109)	48	1,109	5,215
Investment																										
Investment Income	418	3	-	106	9	108	81	26	22	137	12	0	18	-	137	-	291	655	20	1	-	40	88	21	46	2,239
Unrealised Gains/Losses	-	(4)	(1)	(13)	(6)	(13)	-	-	(14)	(5)	-	-	4	1	(6)	-	-	(52)	(88)	-	-	-	-	(264)	-	(463)
Other Income	(113)	93	-	(0)	344	(23)	86	95	-	24	34	-	-	0	(12)	-	74	(56)	-	3	0	86	90	120	(32)	812
Profit Before Tax	632	299	(635)	46	157	(569)	730	289	(25)	452	350	33	0	61	583	(8)	1,486	2,429	52	242	(53)	135	69	(76)	1,122	7,803
Taxation	163	68	(278)	14	40	(147)	188	75	(6)	124	37	2	-	20	5	-	611	594	2	53	-	-	19	(3)	276	1,858
Profit After Tax	469	231	(357)	32	117	(423)	542	215	(19)	328	313	32	0	41	577	(8)	875	1,835	50	189	(53)	135	50	(73)	846	5,945

Appendix 1B: Statements of Financial Position for Non-life Insurers US\$'000																											
	Alliance	Allied	Altfin	C.B.Z	Cell Insurance Company Promoter	Cell Business	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Old Mutual	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat Lion	Total	
ASSETS																											
Non-Current Assets																											
Fixed Assets	2,536	532	339	249	437	-	1,448	1,251	2,292	2,927	1,592	585	754	390	2,415	70	3,296	1,051	413	2,267	1,351	884	1,121	178	586	28,963	
Investments	1,255	92	1,100	425	1,079	265	-	11	360	163	-	7	196	1,252	2,514	551	3,645	2,460	1,435	2	-	6	4,291	1,893	3,514	26,516	
	3,791	624	1,439	674	1,516	265	1,448	1,262	2,652	3,090	1,592	591	950	1,641	4,929	622	6,941	3,511	1,848	2,268	1,351	890	5,412	2,071	4,100	55,479	
Technical Assets																											
Reinsurers' Share of O/S Claims	1,712	69	2,040	178	-	-	531	156	406	301	6	4	83	163	-	81	1,642	1,625	13	1	-	-	327	134	908	10,380	
Deferred Acquisition Cost	515	148	(42)	(15)	1,331	-	82	36	53	192	78	16	280	40	526	57	1,051	1,066	163	16	6	47	463	97	724	6,928	
	2,227	216	1,998	162	1,331	-	613	193	459	493	84	20	362	203	526	138	2,693	2,692	176	17	6	47	789	231	1,632	17,308	
Current Assets																											
Cash & cash equivalents	172	34	6	165	432	2,221	340	58	92	396	407	(2)	16	69	89	1	4,874	3,146	174	213	20	34	163	54	482	13,655	
Money Market Investments	7,137	117	-	1,427	24	804	63	526	323	1,974	6	-	-	38	1,957	-	-	11,376	-	-	-	740	-	627	1,428	28,566	
Current Prescribed Assets	-	-	-	-	-	-	48	-	-	-	30	-	-	-	-	-	100	331	37	-	-	-	-	135	7	688	
Premium Receivables	3,381	1,190	1,955	1,988	1,346	630	3,440	775	1,038	3,494	295	137	487	864	2,084	587	5,653	2,024	46	25	30	252	1,068	2,175	5,229	40,193	
Inventory and Other Debtors	2,642	78	2,020	810	3,633	147	706	740	428	1,004	987	171	30	67	52	333	1,962	1,399	30	1,344	39	37	-	795	901	20,355	
	13,332	1,418	3,981	4,390	5,435	3,801	4,598	2,099	1,881	6,868	1,725	306	532	1,038	4,182	921	12,589	18,277	287	1,582	89	1,063	1,231	3,785	8,048	103,457	
TOTAL ASSETS	19,350	2,259	7,418	5,226	8,282	4,066	6,659	3,553	4,992	10,451	3,401	917	1,844	2,883	9,637	1,681	22,223	24,479	2,311	3,868	1,446	2,000	7,432	6,087	13,779	176,244	
LIABILITIES																											
Deferred Tax Liabilities	-	70	244	(110)	-	-	(24)	30	97	262	3	13	17	-	310	-	938	-	(115)	28	-	39	34	7	744	2,587	
Long Term loan	-	-	-	-	-	-	-	-	37	-	-	-	-	-	30	200	123	-	-	-	-	-	-	-	500	891	
Current Tax provisions	163	122	-	-	325	-	79	38	-	(19)	77	131	-	15	14	-	239	60	32	238	-	-	70	69	(166)	1,484	
Gross Outstanding Claims	2,554	125	3,102	540	575	78	1,004	362	956	946	151	39	232	276	2,100	101	1,766	3,051	44	15	0	34	365	319	1,526	20,261	
IBNR	4,878	25	286	99	364	-	140	113	145	365	15	7	4	51	125	21	472	1,578	11	67	8	42	19	182	574	9,590	
UPR	2,576	436	385	1,718	1,699	1,761	408	1,218	426	1,505	679	62	493	132	1,786	41	5,256	5,332	833	261	42	148	1,156	1,793	3,345	33,490	
Reinsurance & Other Creditors	4,585	449	1,461	1,016	1,616	9	3,054	-	594	3,183	131	48	174	365	1,690	21	2,074	-	36	74	0	314	1,274	1,414	2,244	25,826	
Other Creditors	-	59	1,184	291	1,275	-	60	187	12	701	83	180	30	160	-	204	1,109	902	44	526	45	28	1,222	769	856	9,927	
TOTAL LIABILITIES	14,755	1,286	6,662	3,553	5,854	1,848	4,720	1,947	2,268	6,943	1,139	480	949	999	6,055	588	11,977	10,922	885	1,208	95	604	4,141	4,553	9,623	104,056	
SHAREHOLDERS' EQUITY																											
Share Capital	301	15	300	51	620	-	382	1,300	2	1	651	360	40	500	2,500	400	2,834	300	120	1,860	1,500	100	1,000	1	553	15,691	
Share Premium	-	276	625	-	-	-	-	25	1,824	2,800	-	-	796	2,430	-	637	3,291	-	-	-	-	2,006	-	2,032	-	16,743	
Revaluation & Other Reserves	1,141	-	422	590	-	-	3	86	353	137	7	287	58	80	218	-	23	2,082	49	192	-	-	587	2,498	1,241	10,052	
Retained Profit	3,153	681	(591)	1,032	1,808	2,218	1,555	195	545	570	1,603	(210)	0	(1,127)	864	56	4,098	11,176	1,257	608	(149)	(711)	1,705	(2,998)	2,362	29,702	
Shareholders's Equity	4,595	973	756	1,673	2,428	2,218	1,939	1,606	2,724	3,508	2,262	437	895	1,883	3,582	1,094	10,246	13,557	1,426	2,660	1,351	1,395	3,292	1,533	4,156	72,188	
TOTAL EQUITY & LIABILITIES	19,350	2,259	7,418	5,226	8,282	4,066	6,659	3,553	4,992	10,451	3,401	917	1,844	2,883	9,637	1,681	22,223	24,479	2,311	3,868	1,446	2,000	7,432	6,087	13,779	176,244	

Appendix 1C: Key Performance Indicators for Non-life Insurers																										
	Alliance	Allied	Altfin	C.B.Z	Cell Insurance Company Promoter	Cell Business	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Old Mutual	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat Lion	Total/Average
Capital Adequacy																										
Capital Position (\$000)	4,595	973	756	1,673	2,428	2,218	1,939	1,606	2,724	3,508	2,262	437	895	1,883	3,582	1,094	10,246	13,557	1,426	2,660	1,351	1,395	3,292	1,533	4,156	2,672
Capital Maintenance Ratio (CMR)	306.31%	64.84%	50.40%	111.51%	161.86%	147.85%	129.25%	107.10%	181.62%	233.89%	150.77%	29.14%	59.67%	125.56%	238.78%	72.90%	433.92%	446.78%	95.07%	177.31%	90.07%	93.03%	219.44%	102.22%	249.50%	178.15%
Equity/Total Assets Ratio	23.75%	43.06%	10.19%	32.01%	29.31%	54.54%	29.12%	45.21%	54.58%	33.57%	66.50%	47.65%	48.53%	65.34%	37.17%	65.04%	46.11%	55.38%	61.70%	68.77%	93.41%	69.79%	44.29%	25.19%	30.16%	40.96%
Solvency Margin	50.56%	65.78%	24.27%	47.70%	52.22%	52.65%	51.76%	42.90%	93.84%	49.12%	115.79%	67.21%	60.36%	225.29%	77.68%	135.97%	61.18%	69.29%	73.54%	172.58%	>175%	348.09%	95.20%	41.84%	46.33%	65.50%
Asset Quality																										
Total Assets (\$000)	19,350	2,259	7,418	5,226	8,282	4,066	6,659	3,553	4,992	10,451	3,401	917	1,844	2,883	9,637	1,681	22,223	24,479	2,311	3,868	1,446	2,000	7,432	6,087	13,779	176,244
Investments to Assets	44.26%	10.76%	14.91%	38.59%	18.53%	80.91%	6.77%	16.74%	15.53%	24.23%	13.00%	0.54%	11.48%	47.13%	47.32%	32.87%	38.78%	70.72%	71.22%	5.55%	1.38%	39.03%	59.93%	44.50%	39.42%	39.39%
Non-Profitable Assets/Total Assets	55.74%	89.24%	85.09%	61.41%	81.47%	19.09%	93.23%	83.26%	84.47%	75.77%	87.00%	99.46%	88.52%	52.87%	52.68%	67.13%	61.22%	29.28%	28.78%	94.45%	98.62%	60.97%	40.07%	55.50%	60.58%	60.61%
Investment in Fixed Assets/Total Assets	13.10%	23.56%	4.57%	4.77%	5.27%	0.00%	21.75%	35.21%	45.91%	28.01%	46.83%	63.74%	40.88%	13.52%	25.06%	4.19%	14.83%	4.29%	17.87%	58.60%	93.44%	44.19%	15.08%	2.92%	4.25%	16.43%
Prescribed Assets Ratio	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.73%	0.00%	0.00%	0.00%	0.88%	0.00%	0.00%	0.00%	0.00%	0.00%	0.45%	1.35%	1.60%	0.00%	0.00%	0.00%	0.00%	2.21%	0.05%	0.39%
Premium Debtors/Gross Premium	28.29%	180.34%	195.70%	40.12%	9.23%	18.24%	78.14%	33.65%	42.96%	42.48%	14.77%	37.12%	61.20%	88.79%	43.21%	160.10%	38.09%	12.13%	7.00%	2.64%	73.10%	36.73%	65.18%	48.53%	38.31%	34.38%
Premium Debtors/Total Assets	17.47%	52.67%	26.35%	38.04%	16.26%	15.49%	51.67%	21.81%	20.79%	33.44%	8.67%	14.97%	26.38%	29.99%	21.62%	34.91%	25.44%	8.27%	1.99%	0.65%	2.08%	12.61%	14.38%	35.73%	37.95%	22.81%
Reinsurance																										
Risk Retention Ratio	42.52%	87.70%	41.04%	41.81%	21.96%	100.00%	63.49%	93.39%	44.65%	50.51%	73.81%	80.46%	72.90%	61.25%	50.00%	92.65%	63.64%	72.76%	70.62%	97.26%	99.62%	78.15%	23.19%	54.99%	48.82%	54.52%
Reinsurance Creditors/Reinsurance Premium	66.76%	554.00%	248.05%	35.24%	14.20%	0.00%	189.99%	0.00%	44.43%	78.18%	25.07%	66.53%	80.55%	96.85%	70.10%	76.68%	38.43%	0.00%	18.65%	282.57%	100.00%	209.51%	101.18%	70.09%	32.13%	48.58%
Reinsurers' Share of O/S Claims to O/S Claims	67.04%	55.02%	65.76%	32.90%	0.00%	0.00%	52.95%	43.17%	42.43%	31.84%	3.67%	10.33%	35.68%	59.16%	0.00%	80.46%	92.98%	53.28%	29.55%	6.00%	0.00%	0.00%	89.42%	42.06%	59.53%	51.23%
Actuarial																										
UPR (\$000)	2,576	436	385	1,718	1,699	1,761	408	1,218	426	1,505	679	62	493	132	1,786	41	5,256	5,332	833	261	42	148	1,156	1,793	3,345	33,490
IBNR (\$000)	4,878	25	286	99	364	-	140	113	145	365	15	7	4	51	125	21	472	1,578	11	67	8	42	19	182	574	9,590
Technical Reserves/Assets	38.52%	20.41%	9.05%	34.77%	24.91%	43.30%	38.52%	37.46%	11.44%	17.89%	20.38%	7.57%	26.97%	6.37%	19.83%	3.67%	25.78%	28.23%	36.52%	8.48%	3.43%	9.46%	15.81%	32.44%	28.44%	24.44%
(Outstanding Claims+IBNR)/Assets	29.56%	3.59%	18.17%	8.83%	11.34%	1.93%	29.56%	8.97%	13.92%	9.66%	4.72%	4.65%	8.30%	5.68%	23.10%	2.43%	2.68%	12.27%	1.82%	2.08%	0.56%	3.77%	0.78%	6.02%	8.65%	11.05%
Earnings																										
Profit After Tax (\$000)	469	231	(357)	32	117	(423)	542	215	(19)	328	313	32	0	41	577	(8)	875	1,835	50	189	(53)	135	50	(73)	846	5,945
Return on Equity	10.21%	23.73%	-47.22%	1.94%	4.81%	-19.06%	27.98%	13.38%	-0.68%	9.35%	13.84%	7.24%	0.02%	2.19%	16.11%	-0.72%	8.54%	13.54%	3.51%	7.11%	-3.96%	9.64%	1.53%	-4.73%	20.35%	8.24%
Return on Assets	2.43%	10.22%	-4.81%	0.62%	1.41%	-10.40%	8.15%	6.05%	-0.37%	3.14%	9.20%	3.45%	0.01%	1.43%	5.99%	-0.47%	3.94%	7.50%	2.16%	4.89%	-3.70%	6.73%	0.68%	-1.19%	6.14%	3.37%
Loss Ratio	53.91%	7.63%	87.93%	44.59%	51.47%	17.32%	20.11%	34.38%	32.22%	48.16%	39.28%	29.52%	41.55%	24.23%	15.12%	16.76%	45.70%	47.35%	25.49%	15.01%	75.55%	26.55%	95.57%	35.31%	35.09%	40.77%
Net Commission Ratio	-0.18%	6.71%	-6.29%	-1.24%	-3.72%	0.00%	8.64%	8.69%	-16.02%	8.42%	14.03%	8.32%	9.26%	-3.68%	14.01%	1.67%	9.14%	10.71%	6.25%	11.74%	59.49%	0.46%	-10.49%	2.81%	11.30%	6.26%
Net Expense Ratio	40.03%	52.14%	126.19%	59.80%	59.77%	110.48%	49.31%	48.37%	87.03%	35.45%	16.22%	54.83%	52.92%	67.50%	48.14%	83.15%	31.81%	23.44%	53.55%	46.51%	792.76%	71.51%	28.58%	59.46%	30.76%	43.58%
Combined Ratio	93.77%	66.48%	207.82%	103.15%	107.53%	127.79%	78.06%	91.43%	103.23%	92.04%	69.53%	92.67%	103.74%	88.05%	77.27%	101.58%	86.65%	81.51%	85.29%	73.27%	927.79%	98.52%	113.67%	97.58%	77.14%	90.62%
Underwriting Margin	6.23%	33.52%	-107.82%	-3.15%	-7.53%	-27.79%	21.94%	8.57%	-3.23%	7.96%	30.47%	7.33%	-3.74%	11.95%	22.73%	-1.58%	13.35%	18.49%	14.71%	26.73%	-827.79%	1.48%	-13.67%	2.42%	22.86%	9.38%
Investment Income/NPW Ratio	8.22%	-0.26%	-0.24%	4.50%	0.09%	2.77%	2.91%	1.20%	0.67%	3.17%	0.81%	0.01%	3.71%	0.20%	5.42%	0.00%	3.08%	4.97%	-14.66%	0.05%	0.00%	7.51%	23.28%	-9.88%	0.69%	2.79%
Investment Income/Total Financial Assets	4.88%	1.19%	0.00%	5.28%	0.56%	3.29%	20.18%	4.34%	2.78%	5.41%	2.88%	0.53%	8.41%	0.00%	3.01%	0.00%	3.42%	3.86%	1.24%	0.23%	0.00%	5.16%	1.99%	0.81%	0.85%	3.26%
Liquidity																										
Working Capital (\$000)	804	408	501	1,290	2,187	1,953	551	531	122	1,119	752	26	(25)	402	(1,317)	876	4,537	10,948	(378)	917	45	533	(898)	232	1,413	27,527
Current ratio	105.45%	133.24%	109.15%	139.53%	147.75%	205.67%	111.83%	130.20%	105.49%	117.93%	171.23%	108.50%	97.25%	147.84%	78.14%	577.02%	142.22%	209.26%	55.05%	234.38%	190.15%	192.43%	69.23%	106.13%	117.09%	129.52%
Acid Test ratio	49.54%	12.30%	0.11%	48.79%	9.95%	163.67%	9.68%	33.17%	18.71%	37.96%	41.88%	-0.57%	1.69%	12.72%	33.96%	0.68%	46.29%	148.23%	25.09%	31.16%	39.92%	134.22%	5.58%	21.54%	23.19%	46.02%
Market Shares																										
Market Share Based on GWP	10.22%	0.56%	0.85%	4.24%	12.47%	2.95%	3.77%	1.97%	2.07%	7.04%	1.71%	0.32%	0.68%	0.83%	4.12%	0.31%	12.70%	14.27%	0.56%	0.81%	0.04%	0.59%	1.40%	3.83%	11.68%	100%
Market Share Based on NPW	7.97%	0.91%	0.64%	3.25%	5.02%	5.42%	4.39%	3.38%	1.69%	6.52%	2.31%	0.47%	0.91%	0.94%	3.78%	0.53%	14.82%	19.05%	0.73%	1.45%	0.06%	0.84%	0.60%	3.87%	10.46%	100%
Market Share Based on Total Assets	10.98%	1.28%	4.21%	2.97%	4.70%	2.31%	3.74%	2.02%	2.83%	5.93%	1.93%	0.52%	1.05%	1.64%	5.47%	0.95%	12.61%	13.89%	1.31%	2.19%	0.82%	1.13%	4.22%	3.45%	7.82%	100%

Appendix 2A: Statement of Comprehensive Income-Reinsurers U\$ '000										
	Baobab Re	Collonade Re	FBC Re	FMRE	Grand Re	New Re	Tropical Re	ZB Re	Zep-Re	Total
Gross Written Premiums	5,508	2,017	7,549	12,109	3,700	789	7,036	13,720	3,821	56,249
Reinsurance Premiums	900	702	2,001	3,807	1,470	294	2,497	6,798	299	18,767
Net Written Premiums	4,608	1,315	5,547	8,302	2,230	495	4,540	6,922	3,522	37,481
Unearned Premium	611	(125)	(67)	976	213	(163)	93	893	151	2,582
Net Earned Premiums	3,997	1,439	5,615	7,327	2,017	658	4,447	6,029	3,371	34,899
Net Incurred Claims	2,296	288	2,529	3,324	726	118	2,313	1,854	1,665	15,114
Net Commission Incurred	1,362	276	1,615	2,047	481	158	1,198	2,055	1,014	10,207
Technical Result	339	876	1,470	1,956	810	382	936	2,120	691	9,579
Operating Expenses	2,322	449	1,010	1,582	652	172	529	1,394	115	8,225
Underwriting Result	(1,983)	426	460	374	158	210	407	726	576	1,354
Investment										
Investment Income	230	23	490	234	(17)	-	131	394	54	1,539
Unrealised Gains/Losses	(757)	-	(231)	(465)	(4)	-	0	17	-	(1,439)
Other Income	-	4	40	4	9	-	20	-	-	76
Profit Before Tax	(2,510)	454	759	147	146	210	558	1,137	630	1,530
Taxation	-	113	195	65	(3)	41	112	288	-	812
Profit After Tax	(2,510)	340	563	82	148	169	446	849	630	717

Appendix 2B: Statement of Financial Position-Reinsurers US\$'000										
	Baobab Re	Collonade Re	FBC Re	FMRE	Grand Re	New Re	Tropical Re	ZB Re	Zep-Re	Total
ASSETS										
Non-Current Assets										
Fixed Assets	405	626	283	287	433	251	625	529	370	3,809
Investments	33,094	40	2,786	1,806	8,519	676	717	1,724	1,727	51,088
	33,499	666	3,069	2,093	8,951	927	1,342	2,253	2,097	54,897
Technical Assets										
Reinsurers' Share of O/S Claims	2,522	229	4,336	829	903	53	1,239	-	-	10,112
Deferred Acquisition Cost (DAC)	1,487	19	949	965	1,478	-	303	-	368	5,568
	4,009	248	5,285	1,794	2,381	53	1,542	-	368	15,680
Current Assets										
Cash & cash equivalents	156	69	7,360	4,214	69	328	290	7,945	159	20,591
Money Market Investments	51	787	-	75	174	-	2,477	83	-	3,647
Current Prescribed Assets	-	-	1,041	384	10	-	177	200	-	1,812
Premium Receivables	3,120	1,756	2,904	4,545	2,469	804	2,485	2,031	978	21,091
Inventory and Other Debtors	4,880	151	199	800	277	32	602	310	61	7,311
	8,207	2,763	11,504	10,017	2,999	1,164	6,031	10,570	1,198	54,452
TOTAL ASSETS	45,715	3,676	19,858	13,905	14,331	2,144	8,914	12,822	3,663	125,029
Liabilities										
Deferred Tax Liabilities	-	3	(277)	198	-	-	257	351	-	533
Long term loan	-	-	-	-	300	-	-	-	-	300
Current Tax provisions	15	155	54	-	-	76	-	60	-	360
Gross Outstanding Claims	5,012	325	5,552	1,609	1,215	184	1,571	1,049	1,157	17,673
IBNR	496	-	818	1,483	-	58	587	-	-	3,442
UPR	3,965	788	3,301	3,306	1,698	240	1,514	2,334	1,169	18,315
Retrocession Creditors	5,157	-	1,160	1,502	1,235	580	1,821	313	-	11,768
Other Creditors	3,721	522	254	124	120	-	249	899	-	5,889
Total Liabilities	18,365	1,793	10,862	8,223	4,568	1,138	5,998	5,007	2,326	58,280
SHAREHOLDERS' EQUITY										
Share Capital	500	1,056	600	1	400	-	0	5	(378)	2,183
Share Premium	26,091	290	2,203	3,934	-	700	410	2,495	-	36,123
Revaluation & Other Reserves	6,803	26	2,870	254	5,260	182	-	11	-	15,405
Retained Profit	(6,044)	511	3,323	1,494	4,103	124	2,506	5,304	1,716	13,037
Shareholders's Equity	27,350	1,883	8,996	5,682	9,763	1,006	2,916	7,815	1,337	66,749
TOTAL EQUITY & LIABILITIES	45,715	3,676	19,858	13,905	14,331	2,144	8,914	12,822	3,663	125,029

Appendix 2C: Key Performance Indicators for Reinsurers										
	Baobab Re	Colonnade	FBC Re	FMRE	Grand Re	New Re	Tropical Re	ZB Re	Zep - Re	Total/Average
Indicator										
Capital Adequacy										
Shareholders' Equity (Capital Base) \$ 000	27,350	1,883	8,996	5,682	9,763	1,006	2,916	7,815	1,337	7,417
Capital Maintenance Ratio (CMR)	1823.31%	125.56%	599.72%	273.76%	650.87%	67.07%	194.41%	451.58%	89.16%	494.43%
Equity/Total Assets Ratio	59.83%	51.23%	45.30%	40.86%	68.13%	46.92%	32.71%	60.95%	36.51%	53.39%
Solvency Margin	217.11%	61.55%	77.61%	44.96%	296.32%	59.46%	33.20%	52.48%	33.82%	92.07%
Asset Quality										
Total Assets (\$ 000)	45,715	3,676	19,858	13,905	14,331	2,144	8,914	12,822	3,663	125,029
Investments to Assets	72.85%	24.39%	56.34%	46.60%	61.20%	46.83%	41.06%	77.62%	51.48%	61.70%
Non-Profitable Assets/Total Assets	27.15%	75.61%	43.66%	53.40%	38.80%	53.17%	58.94%	22.38%	48.52%	38.30%
Investment in Fixed Assets/Total Assets	0.89%	17.02%	1.42%	2.06%	3.02%	11.71%	7.02%	4.13%	10.11%	3.05%
Prescribed Assets Ratio	0.00%	0.00%	5.24%	2.76%	0.07%	0.00%	1.98%	1.56%	0.00%	1.45%
Premium Debtors/Gross Premium	56.65%	87.05%	38.47%	37.54%	66.74%	101.90%	35.32%	14.80%	25.59%	37.50%
Premium Debtors/Total Assets	6.82%	47.75%	14.62%	32.69%	17.23%	37.50%	27.88%	15.84%	26.69%	16.87%
Retrocession										
Risk Retention Ratio	83.66%	65.19%	73.49%	68.56%	60.27%	62.74%	64.52%	50.45%	92.18%	66.64%
Retrocession Creditors/Retrocession Premium	573.03%	0.00%	57.96%	39.47%	84.05%	197.28%	72.92%	4.61%	0.00%	62.71%
Reinsurers' Share of O/S Claims to O/S Claims	50.31%	70.63%	78.10%	51.53%	74.38%	28.80%	78.89%	0.00%	0.00%	57.22%
Actuarial										
UPR	3,965	788	3,301	3,306	1,698	240	1,514	2,334	1,169	18,315
IBNR	5,012	325	5,552	1,609	1,215	184	1,571	1,049	1,157	17,673
Technical Reserves/Assets	19.64%	30.27%	44.58%	35.35%	20.32%	19.78%	34.60%	26.39%	63.49%	28.78%
(Outstanding Claims+IBNR)/Assets	12.05%	8.84%	32.08%	22.24%	8.47%	11.29%	24.21%	8.18%	31.57%	16.89%
Earnings										
Profit After Tax	(2,510)	340	563	82	148	169	446	849	630	717
Return on Equity	-9.18%	18.07%	6.26%	1.44%	1.52%	16.80%	15.29%	10.86%	47.11%	1.07%
Return on Assets	-5.49%	9.26%	2.84%	0.59%	1.04%	7.88%	5.00%	6.62%	17.20%	0.57%
Loss Ratio	57.45%	19.97%	45.05%	45.37%	35.99%	17.93%	52.02%	30.76%	49.41%	43.31%
Net Commission Ratio	34.07%	19.19%	28.77%	27.93%	23.87%	24.01%	26.94%	34.09%	30.09%	29.25%
Net Expense Ratio	58.10%	31.21%	17.99%	21.59%	32.31%	26.14%	11.89%	23.12%	3.40%	23.57%
Combined Ratio	149.62%	70.37%	91.80%	94.90%	92.17%	68.09%	90.85%	87.97%	82.91%	96.12%
Underwriting Margin	-49.62%	29.63%	8.20%	5.10%	7.83%	31.91%	9.15%	12.03%	17.09%	3.88%
Investment Income/NPW Ratio	-11.44%	1.78%	4.66%	-2.78%	-0.94%	0.00%	2.89%	5.94%	1.53%	0.27%
Investment Income/Total Financial Assets	0.69%	21.47%	4.83%	3.89%	-0.20%	0.00%	13.00%	4.08%	2.86%	2.15%
Liquidity										
Working Capital	(2,429)	1,739	6,182	3,713	1,232	79	1,823	6,461	(760)	18,041
Current ratio	83.42%	236.80%	158.27%	145.85%	129.70%	106.94%	131.72%	257.28%	67.34%	134.63%
Acid Test ratio	1.42%	67.38%	69.38%	52.96%	5.84%	28.82%	48.13%	195.43%	6.85%	46.53%
Market Shares										
Market Share Based on GPW	9.79%	3.59%	13.42%	21.53%	6.58%	1.40%	12.51%	24.39%	6.79%	100%
Market Share Based on NPW	12.29%	3.51%	14.80%	22.15%	5.95%	1.32%	12.11%	18.47%	9.40%	100%
Market Share Based on Total Assets	36.56%	2.94%	15.88%	11.12%	11.46%	1.71%	7.13%	10.26%	2.93%	100%

Appendix 3A: Statement of Comprehensive Income for Brokers US\$'000

	Afro-Asia	Alexander Forbes	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	Insurasure	L.A. Guard	Marsh	Minerva - Risk Solutions	Momentum	Paul Mkondo	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	ZIB	Total
Premium Written	63	3,925	74	168	85	229	2,236	832	2,997	1,370	1,385	397	39	4,886	2,619	1,145	76	4,800	8,328	1,342	20	155	1,696	47	1,317	1,064	352	3,170	44,754
Premium Payable	58	3,238	57	146	75	189	1,798	662	2,493	1,046	1,140	326	31	4,069	2,160	969	66	3,787	6,853	1,114	12	136	1,275	41	967	840	288	2,649	36,425
Brokerage Commission	5	687	17	22	10	40	438	170	504	324	245	71	8	818	460	175	10	1,013	1,475	228	8	19	421	7	349	224	64	522	8,329
less Commission paid	2	34	0	0	2	0	0	0	26	0	2	7	0	168	31	0	0	3	0	0	2	2	21	0	0	0	0	0	298
Net Brokerage Commission	3	652	17	22	8	40	438	170	479	324	243	64	8	650	428	175	10	1,010	1,475	228	5	18	400	7	349	224	64	522	8,031
Other Income	0	67	3	0	27	0	0	0	39	69	47	0	5	0	4	23	0	12	0	58	28	117	140	0	11	15	36	205	908
Admin Expenses	15	704	14	22	35	39	428	173	438	394	276	39	12	389	381	179	17	539	1,498	258	33	112	531	10	307	233	70	648	7,777
Profit Before Tax	(12)	15	6	1	1	1	11	(2)	80	(1)	15	26	1	260	51	20	(7)	483	(23)	28	1	22	9	(4)	54	6	30	80	1,162
Taxation	0	7	0	0	0	0	0	0	22	(13)	0	0	0	67	0	5	0	61	6	8	0	1	0	0	0	0	9	3	179
Profit after Tax	(12)	8	6	0	0	1	11	(2)	58	12	15	26	1	193	51	14	(7)	422	(29)	19	0	21	9	(4)	54	6	21	77	983

APPENDIX 3B: STATEMENT OF FINANCIAL POSITION-US\$('000)

	Afro-Asian	Alexander Forbes	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	Insuraverse	L.A Guard	Marsh	Minerva - Risk Solutions	Momentum	Paul Mkondo	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	ZIB	Total
Shareholder's Equity																													
Share Capital	0	977	127	32	310	20	116	77	100	50	50	0	5	1	1	0	100	5	12	100	20	40	120	15	0	50	200	50	2,578
Share Premium	10	0	0	0	84	68	0	37	0	0	31	0	0	0	275	0	0	0	0	0	126	0	0	0	0	0	144	0	766
Non-Distributable Reserves	0	0	0	100	38	12	121	60	82	19	58	151	142	10	134	0	9	412	0	319	27	20	100	0	103	0	10	191	2,117
Retained Income	(12)	(461)	0	0	3	1	364	27	264	242	111	26	0	378	(307)	163	(0)	663	504	96	(46)	123	504	(4)	84	57	36	(23)	2,806
shareholder's Equity	(2)	517	127	132	434	101	601	201	446	311	250	177	147	389	104	164	108	1,080	516	515	126	183	724	11	187	107	390	217	8,267
Current liabilities																													
Payable Premiums	1	1,166	57	22	0	83	230	0	14	423	146	0	7	1,372	1,453	591	92	631	1,715	231	28	0	836	12	296	324	99	209	10,036
Other	0	0	21	0	4	0	0	0	0	0	5	0	0	0	0	0	0	0	181	37	0	0	0	0	0	0	0	0	248
Brokers commision payable	0	0	0	0	0	0	0	0	0	0	0	0	0	26	0	0	0	0	0	0	0	0	0	0	0	0	0	0	26
Provisions	0	0	0	0	0	0	39	0	16	0	10	0	0	81	0	0	0	0	0	0	0	0	0	0	0	0	0	0	146
Sundry creditors	0	0	0	0	0	0	0	1	0	0	48	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	25	73
Taxation	0	0	0	0	0	0	0	0	0	3	0	0	0	48	0	0	0	0	0	0	0	0	0	0	0	0	0	0	52
Other	25	291	0	0	0	0	102	0	0	948	63	112	0	20	377	0	0	197	0	0	43	2	296	0	25	80	22	467	3,046
Total Current Liabilities	27	1,457	78	22	4	83	371	1	30	1,374	272	112	7	1,548	1,831	591	92	828	1,896	268	71	2	1,132	12	321	404	121	700	13,628
TOTAL LIABILITIES & EQUITY	25	1,973	205	154	438	184	988	202	476	1,696	522	289	158	2,223	1,941	1,044	200	1,926	2,412	938	197	195	2,344	437	592	511	511	939	23,694
Non - Current Assets																													
Property and Equipment	0	0	0	24	60	0	8	0	0	0	0	0	0	0	0	0	0	0	0	4	0	0	0	0	0	1	23	0	121
Land & Buildings	0	0	65	20	140	0	404	145	189	53	0	182	150	380	0	250	43	150	0	0	101	0	180	400	115	0	15	250	3,230
Furniture and Fittings	5	16	6	25	41	14	23	4	39	10	8	11	3	9	6	26	9	33	45	14	32	21	12	4	6	8	7	14	448
Motor Vehicles	0	200	31	16	106	20	38	0	0	55	47	6	0	201	111	34	22	14	1	75	7	47	28	15	0	42	52	25	1,192
Computer Equipment	0	17	6	5	5	15	4	0	0	8	27	3	0	28	3	9	2	9	44	5	3	5	13	4	14	12	8	29	279
Computer Software	0	0	0	4	2	0	0	0	0	0	28	0	0	0	0	0	1	0	0	0	6	0	1	0	0	0	6	0	48
Investments	0	0	0	0	33	27	61	10	17	24	0	0	0	18	0	7	48	0	0	194	19	0	30	0	0	0	143	64	693
Other	0	171	0	0	0	0	0	0	0	0	0	0	2	42	0	0	0	0	0	1	7	3	1	0	3	0	200	0	430
Total Non- Current Assets	5	404	108	94	387	77	538	160	244	149	109	201	155	678	120	325	125	207	90	292	175	76	265	423	138	63	453	382	6,442
Current Assets																													
Commission Receivable	0	0	0	22	8	0	0	23	0	0	0	0	1	1,513	0	0	10	148	0	0	0	0	1,547	0	0	0	20	451	3,742
Premium Receivables	0	0	0	0	0	0	0	0	0	0	167	0	0	0	1,187	0	0	0	1,594	0	0	0	0	0	197	0	0	0	0
Accured Investment Income	0	0	0	1	20	0	0	0	0	572	63	0	0	0	0	0	0	0	0	0	21	0	0	0	0	0	21	0	699
Other Debtors & Inventory	1	979	61	36	0	85	132	3	137	439	46	0	1	0	60	549	60	284	37	586	0	15	524	0	48	212	12	57	4,365
Cash & Cash Equivalents	19	590	36	0	23	22	317	15	96	535	136	88	0	32	574	170	5	1,287	691	60	2	103	8	14	208	237	4	49	5,301
Total Current Assets	20	1,569	97	60	51	107	450	42	232	1,546	412	88	3	1,545	1,820	719	75	1,719	2,322	646	22	118	2,079	14	453	448	58	557	17,253
TOTAL ASSETS	25	1,973	205	154	438	184	988	202	476	1,696	522	289	158	2,223	1,941	1,044	200	1,926	2,412	938	197	195	2,344	437	592	511	511	939	23,694

Appendix 4A: Statement of Comprehensive Income for Reinsurance Brokers (\$)

	Minerva Re	Pan African	RBI	Total
Premium Written	24,423,277	5,506,775	3,205,016	33,135,068
Premium due to Reinsurers	15,849,834	5,263,109	3,104,673	24,217,616
Brokerage Commission	8,573,443	243,666	100,342	8,917,451
less Commission Paid	7,540,472	-	-	7,540,472
Net Brokerage Commission	1,032,971	243,666	100,342	1,376,979
Other Income	-	14,279	15,227	29,506
Less Administration Expenses	560,651	186,288	83,329	830,268
Profit before Tax	472,320	71,657	32,240	576,217
Taxation	121,622	21,800	8,624	152,046
Profit after Tax	350,698	49,857	23,616	424,171

Appendix 4B: Statement of Financial Position for Reinsurance Brokers (\$)

	Minerva Re	Pan African	RBI	Total
Share Capital	12,000	1,000	200,000	213,000
Share Premium	-	70,000	-	70,000
Non-Distributable Reserves	124,539	-	21,171	145,710
Retained Income	2,368,219	345,353	(101,601)	2,611,971
Shareholder's Equity	2,504,758	416,353	119,570	3,040,681
Liabilities				
Non-Current Liabilities	-	-	-	-
Current Liabilities				
Payable Premiums	7,025,247	1,557,051	2,298,302	10,880,600
Provisions	-	41,578	-	41,578
Sundry creditors	-	33,574	-	33,574
Other	4,584,911	21,886	167,667	4,774,464
Total Current Liabilities	11,610,158	1,654,089	2,465,968	15,730,215
TOTAL LIABILITIES & EQUITY	14,114,916	2,070,442	2,585,539	18,770,897
Land & Buildings	-	185,000	-	185,000
Furniture and Fittings	10,702	11,284	-	21,986
Motor Vehicles	-	28,602	-	28,602
Computer Equipment	2,343	8,712	2,358	13,413
Investments	-	-	20,000	20,000
Other	2,275	-	26,572	28,847
Total Non- Current Assets	15,320	233,598	48,930	297,848
Commission Receivable	10,275,949	485,256	-	10,761,205
Other Debtors & Inventory	2,550,585	122,772	2,182,860	4,856,217
Cash & Cash Equivalents	1,273,062	1,228,816	353,748	2,855,626
Total Current Assets	14,099,596	1,836,844	2,536,609	18,473,049
TOTAL ASSETS	14,114,916	2,070,442	2,585,539	18,770,897